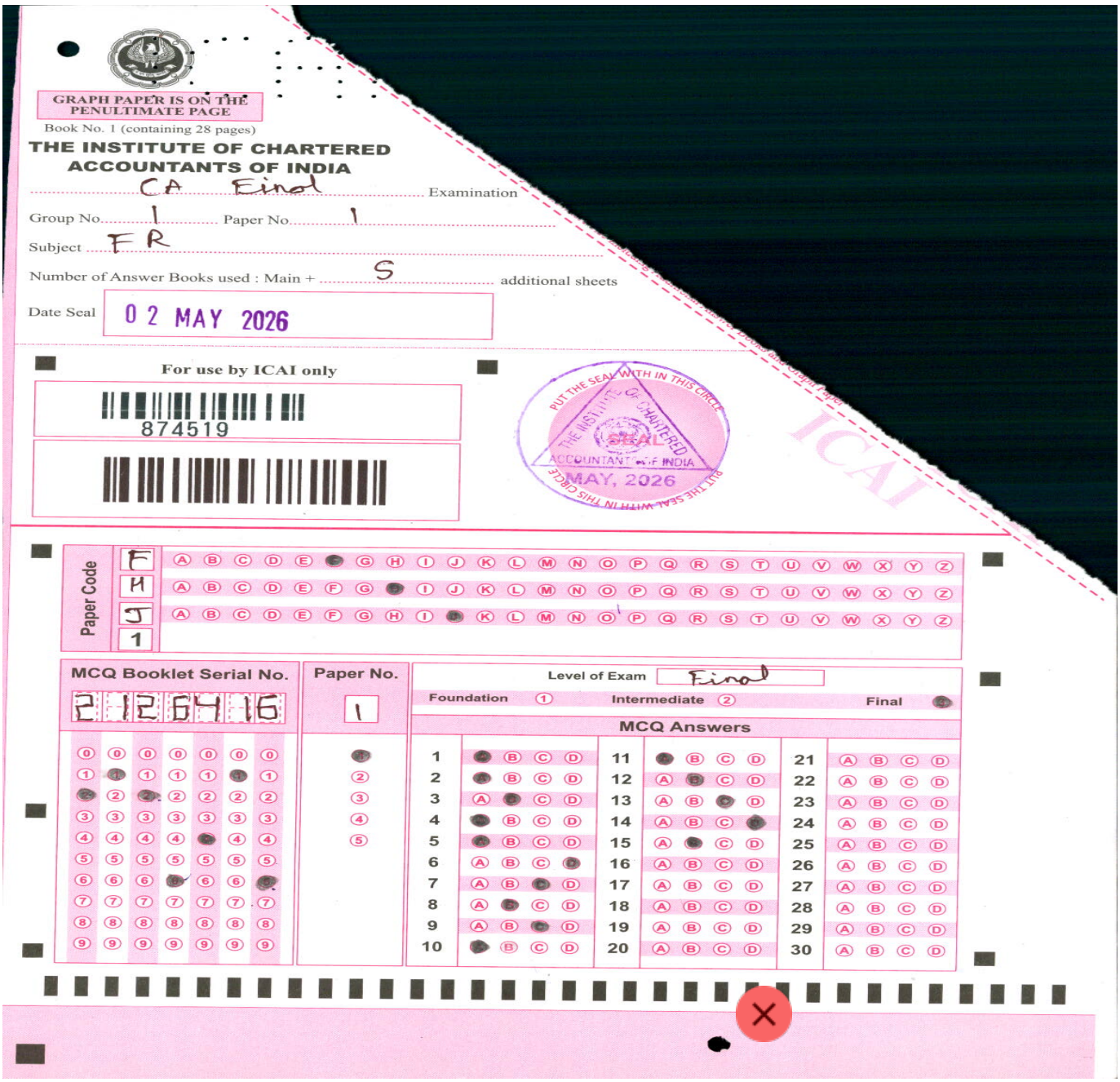
The Institute of Chartered Accountants of India

Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 1 Paper No. 1

Subject FR

Number of Answer Books used : Main + 5 additional sheets

Date Seal 02 MAY 2026

For use by ICAI only

874519

PUT THE SEAL WITH IN THIS CIRCLE — THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA — SEAL — MAY, 2026

Paper Code: F H J 1

MCQ Booklet Serial No.: 2126416

Paper No.: 1

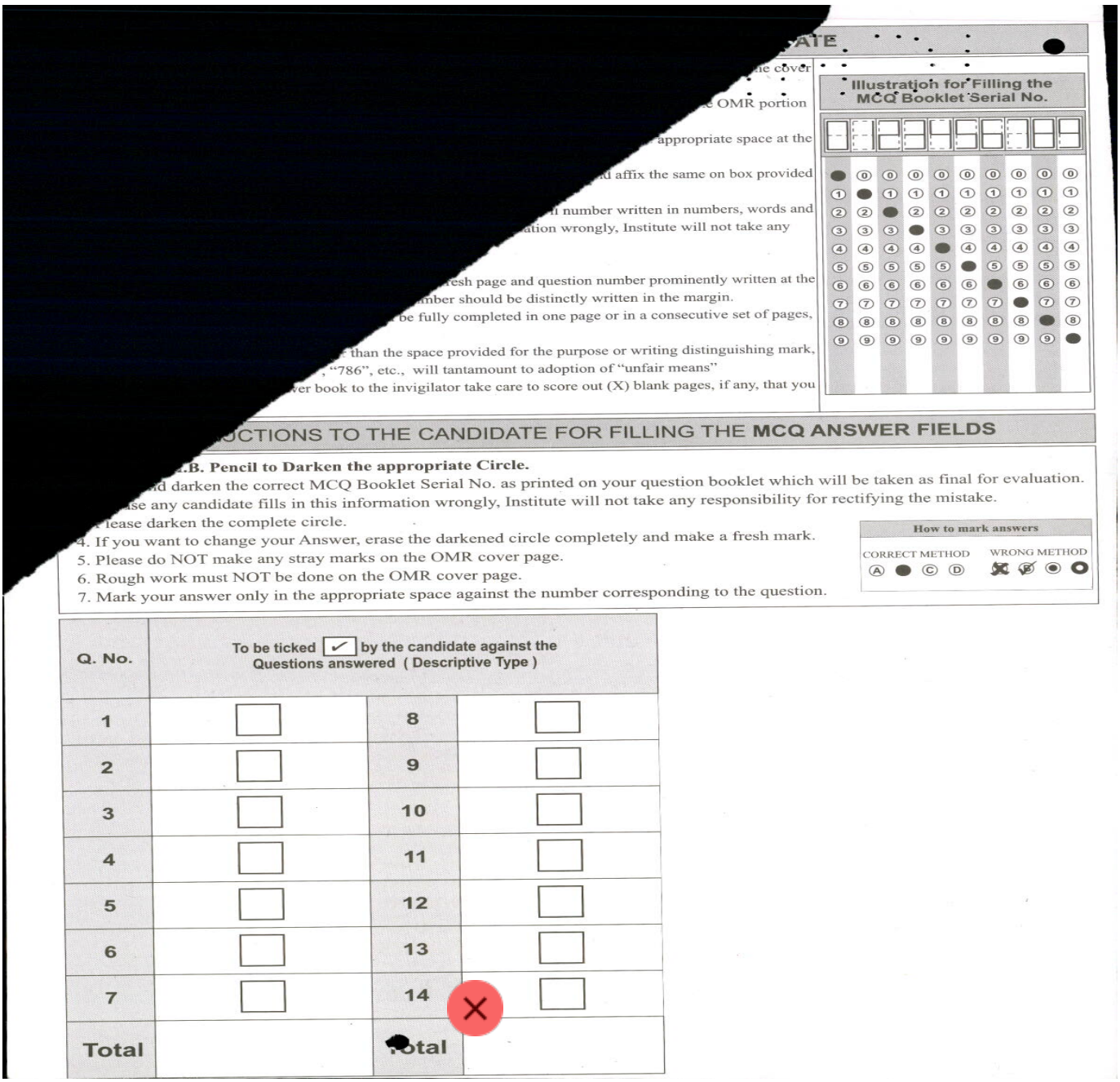
Level of Exam: Final (Foundation 1, Intermediate 2, Final)

MCQ Answers

1	B	11	A	21	A
2	B	12	B	22	A
3	B	13	C	23	A
4	B	14	D	24	A
5	B	15	B	25	A
6	D	16	A	26	A
7	C	17	A	27	A
8	B	18	A	28	A
9	C	19	A	29	A
10	A	20	A	30	A

The Institute of Chartered Accountants of India

Code:	**FN1FR874519**	**Total Marks:**	**70**
Subject :	**01 Financial Reporting**	**Marks Obtained :**	**51.5**



ATE

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be fully completed in one page or in a consecutive set of pages,

than the space provided for the purpose or writing distinguishing mark,

"786", etc., will tantamount to adoption of "unfair means"

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Illustration for Filling the MCQ Booklet Serial No.

CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

.B. Pencil to Darken the appropriate Circle.

d darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

se any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

lease darken the complete circle.

4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD Ⓐ ● Ⓒ Ⓓ

WRONG METHOD ⊗ ⊘ ◉ ○

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	

03

Q3(a)
Ans

7/10
* Read Q. properly

Lease Term ⇒ 4 yrs
Annual Rental ⇒ ₹ 18,06,560
Cost of Bus ⇒ ₹ 45,00,000
Fair Value ⇒ ₹ 60,00,000
UGRV ⇒ ₹ 4,00,000
Transaction Cost ⇒ ₹ 25,000

P.V. of Lease Rentals & UGRV

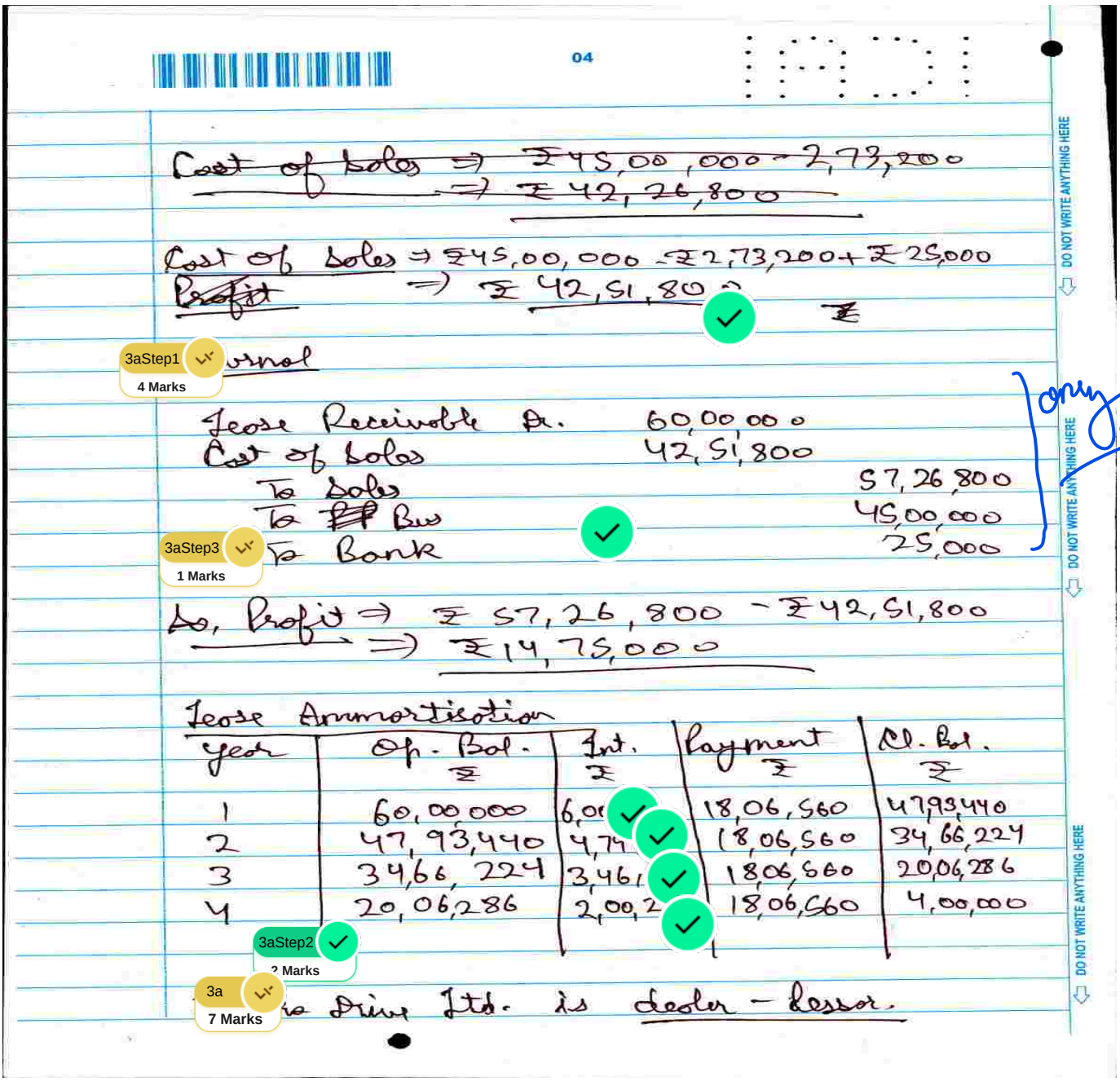
Year	Amt. ₹	P.V.F. @ 10%	P.V. ₹
1	18,06,560	0.909	16,42,163
2	18,06,560	0.826	14,92,219
3	18,06,560	0.751	13,56,727
4	18,06,560	0.683	12,33,880
4	4,00,000	0.683	2,73,200
			59,98,189

Or

₹ 60,00,000

P.V. of UGRV ⇒ 4,00,000 × 0.683
⇒ ₹ 2,73,200

So, Revenue ⇒ 60,00,000 − 2,73,200
⇒ ₹ 57,26,800



04

Cost of Sales ⇒ ₹45,00,000 - 2,73,200
⇒ ₹42,26,800

Cost of Sales ⇒ ₹45,00,000 - ₹2,73,200 + ₹25,000
Profit ⇒ ₹42,51,800

3aStep1 ✓ 4 Marks

Journal

Lease Receivable	Dr.	60,00,000	
Cost of Sales		42,51,800	
To Sales			57,26,800
To Bus			45,00,000
To Bank			25,000

3aStep3 ✓ 1 Marks

only 1 entry

No. Profit ⇒ ₹57,26,800 - ₹42,51,800
⇒ ₹14,75,000

Lease Amortisation

Year	Op. Bal. ₹	Int. ₹	Payment ₹	Cl. Bal. ₹
1	60,00,000	6,0	18,06,560	47,93,440
2	47,93,440	4,79	18,06,560	34,66,224
3	34,66,224	3,46,	18,06,560	20,06,286
4	20,06,286	2,00,2	18,06,560	4,00,000

3aStep2 ✓ 2 Marks

3a ✓ 7 Marks

...a Drive Ltd. is dealer - lessor.

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05

4/4

Q3 (b)

Segement	External Sales ₹	Internal Sales ₹	Total Sales ₹	Percentage of Total
L	52,00,000	3,00,000	55,00,000	28.65%
M	4,00,000	9,00,000	13,00,000	6.77%
N	17,00,000	2,00,000	19,00,000	9.90%
O	9,00,000	96,00,000	1,05,00,000	54.69%
	82,00,000	1,10,00,000	1,92,00,000	100%

As per Ind AS 108, Segment Reporting,

A reportable segement is a segement of the entity for which financial information is presentes seperately in Financial statements.

Further, an entity shall classify a segement as reportable if, its total revenue (both internal & external) 10% or more of the total revenue of the all the segements combined.

06

Q3 (B)

In the present case, Revenue of segement L & segement O is 28.65% & 54.9% respectively. Since, it exceeds 10%, segement L & O are reportable segements.

Revenue of segement M (6.77%) & segement O (9.90%) does not exceed 10%. Hence, segement M & O are not reportable.

Further, entity shall classify additional segements as reportable segements if total external revenue of reportable segements is less than (75%).

Segement	External Revenue %
L	63.41%
M	4.88%
N	20.73%
O	10.98%
	100%

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07

Hence, total external revenue of L & O is 74.39% [63.41% + 10.98%].

Thus, either of M or N has to be classified as reportable segments (any one).

Further, Management may treat other or all segments as reportable voluntarily if it chooses to do so.

Thus, Reportable, ⇒ L, O & [M or N]

3bStep1 ✓ 4 Marks

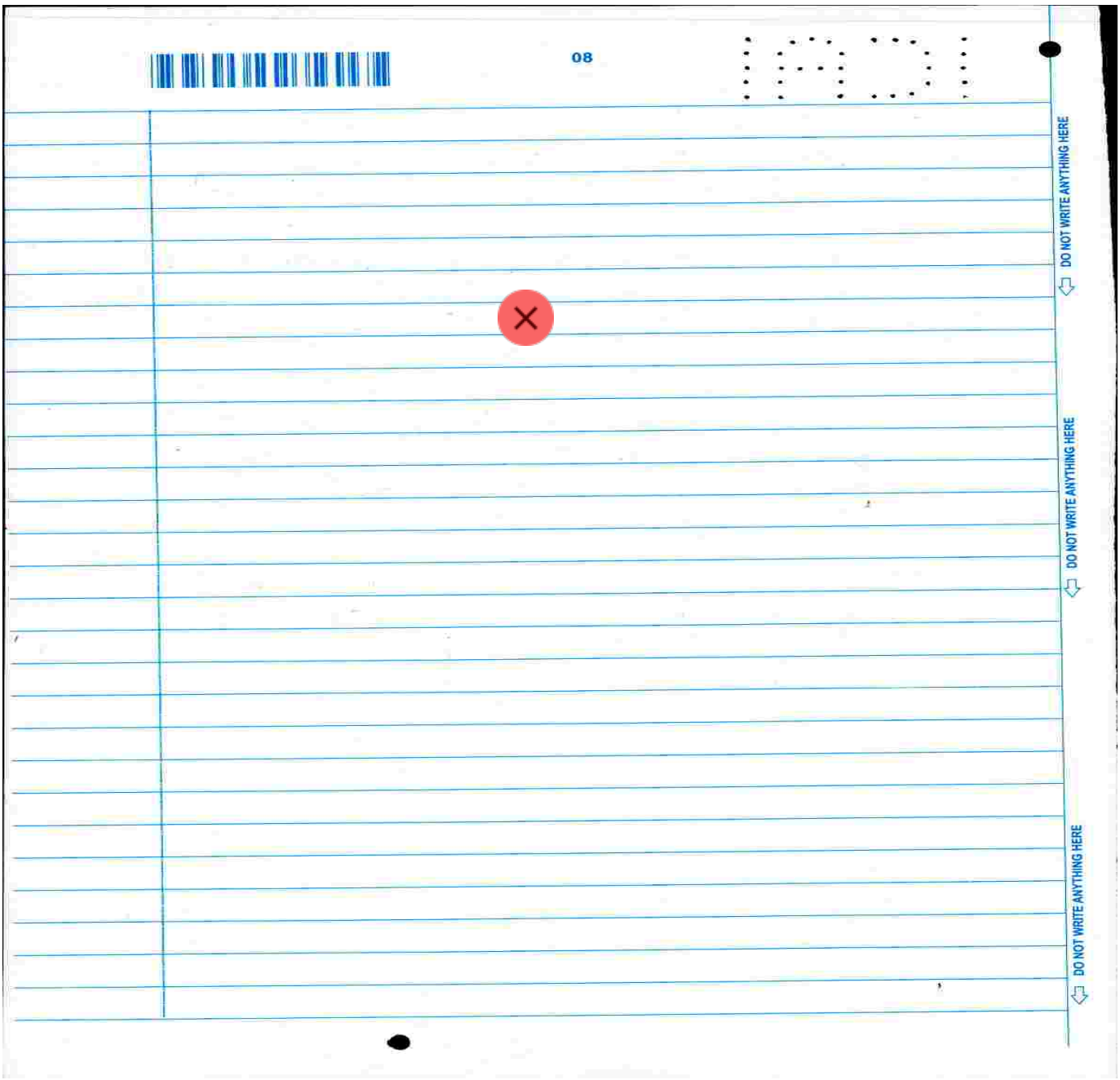
3b ✓ 4 Marks

3 11 Marks

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Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



09

Q 5 (a)
Ans.

3.5/5

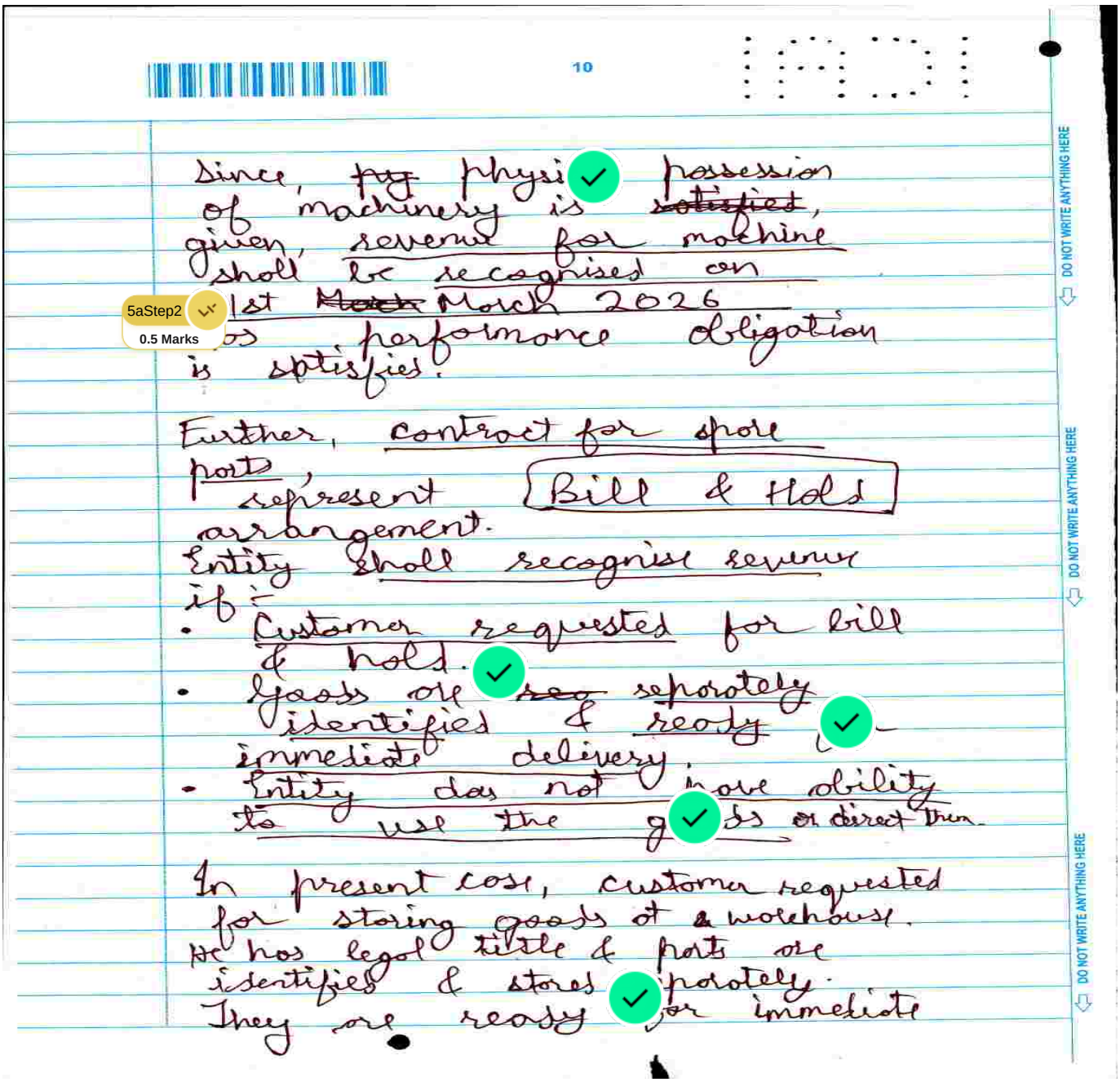
As per Ind AS 115 "Revenue from Operations", entity shall recognise revenue when it satisfies the performance obligation. i.e., when control of all the goods & service promised ~~to the~~ in the contract is transferred to the customer.

Further, where a contract contains more the one performance obligation, entity shall allocate the transaction price in the ratio of stand alone Selling Price.

In the present case, customer pays for machines & shoes on 31st March 2026. Both represent separate performance obligation.

5aStep1
0.5 Marks

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10

Since, the physical possession of machinery is ~~satisfied~~, given, revenue for machine shall be recognised on 1st ~~March~~ March 2026 as performance obligation is satisfies.

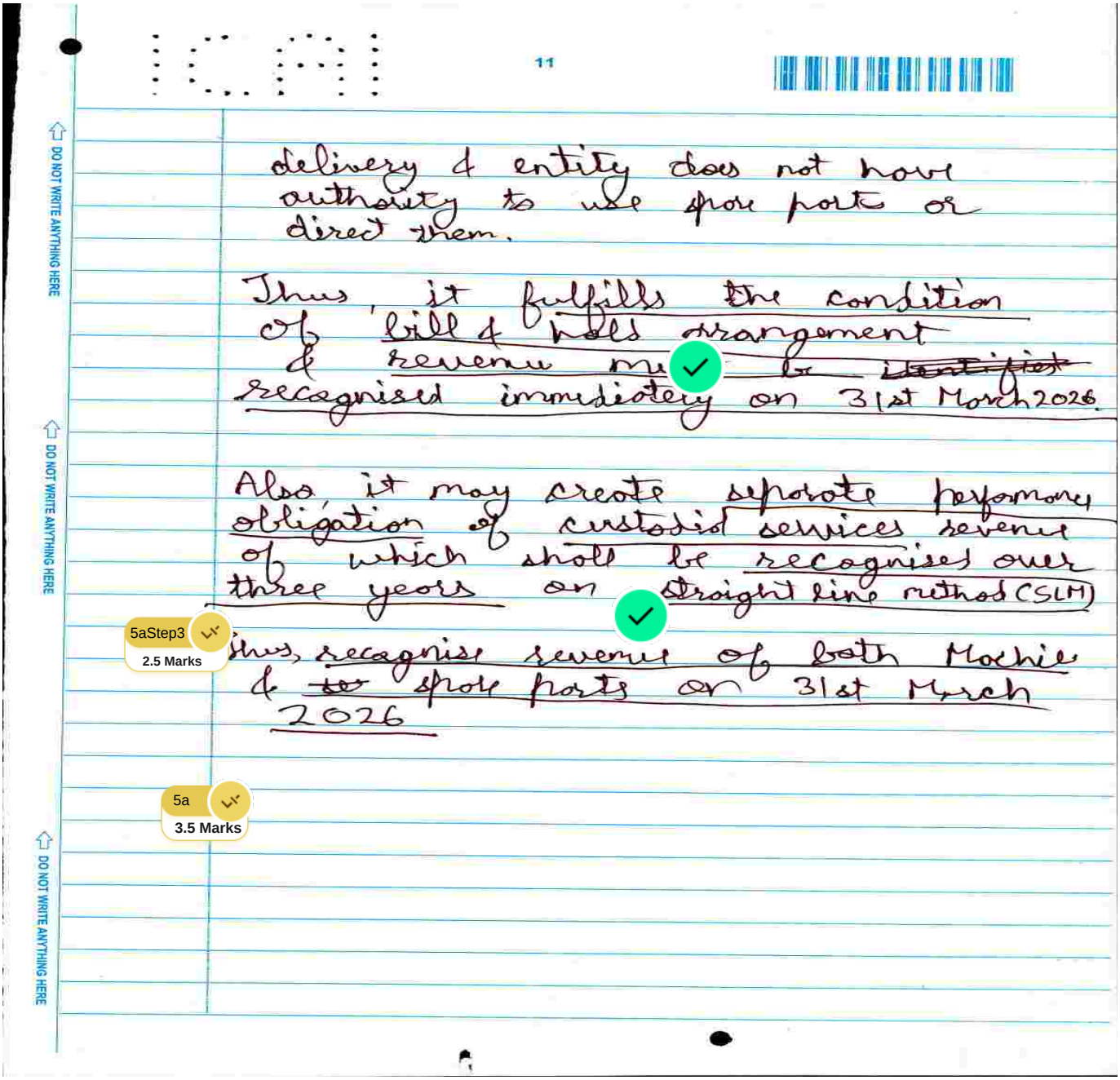
5aStep2
0.5 Marks

Further, contract for spare parts represent Bill & Hold arrangement.
Entity shall recognise revenue if :-

- Customer requested for bill & hold.
- Goods are ~~seg~~ separately identified & ready for immediate delivery.
- Entity does not have ability to use the goods or direct them.

In present case, customer requested for storing goods at a warehouse. He has legal title & parts are identified & stored separately. They are ready for immediate

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11

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delivery & entity does not have authority to use spare parts or direct them.

Thus, it fulfills the condition of 'bill & hold arrangement & revenue must be ~~identified~~ recognised immediately on 31st March 2026.

Also, it may create separate performance obligation of custodial services revenue of which shall be recognised over three years on straight line method (SLM)

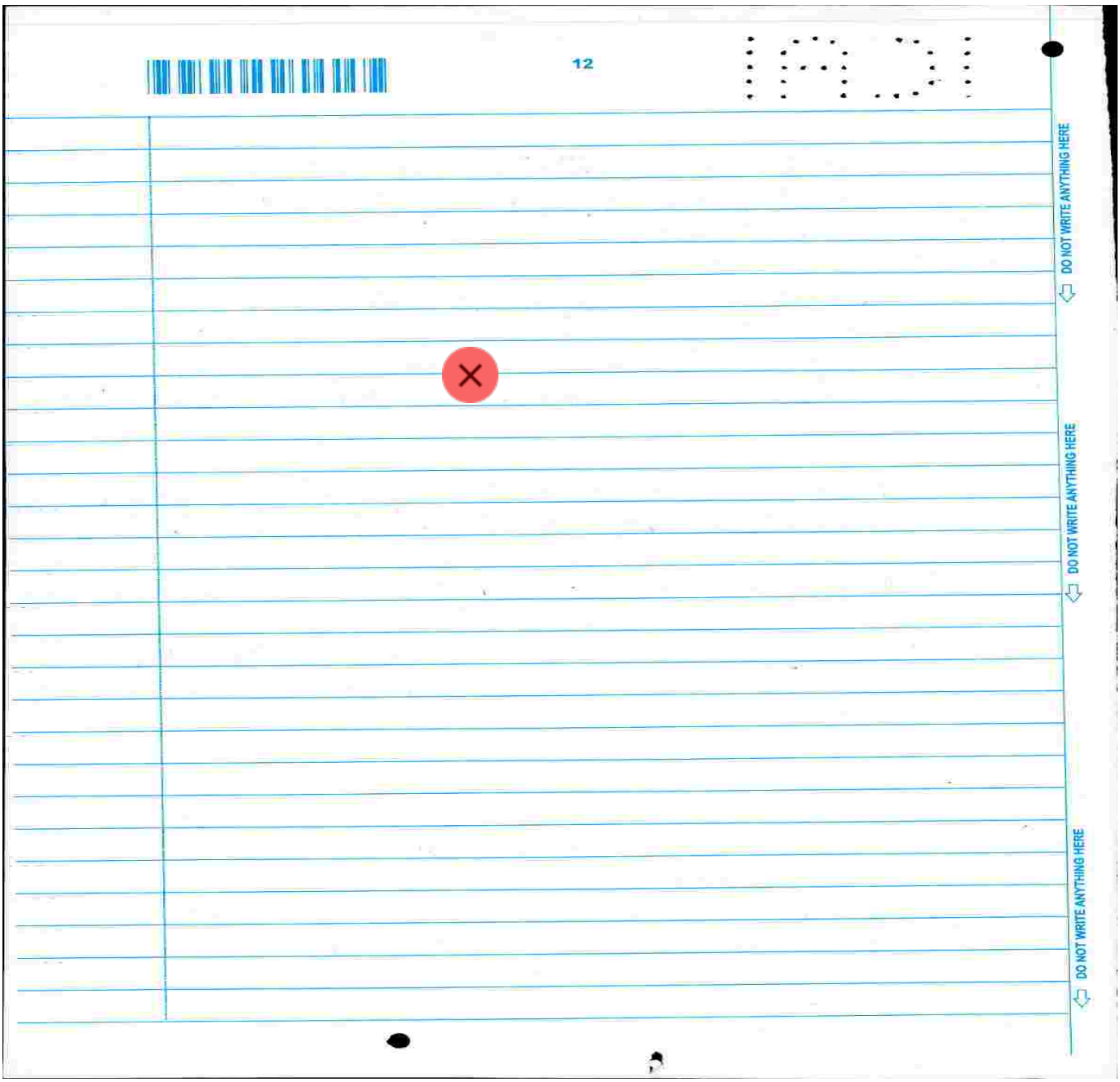
5aStep3
2.5 Marks

Thus, recognise revenue of both Machine & ~~to~~ spare parts on 31st March 2026

5a
3.5 Marks

The Institute of Chartered Accountants of India

Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



13

Q 5 (b)

5/5

Transition date ⇒ 1 April 2024

Debenture Issue Date → 1st April 2022.

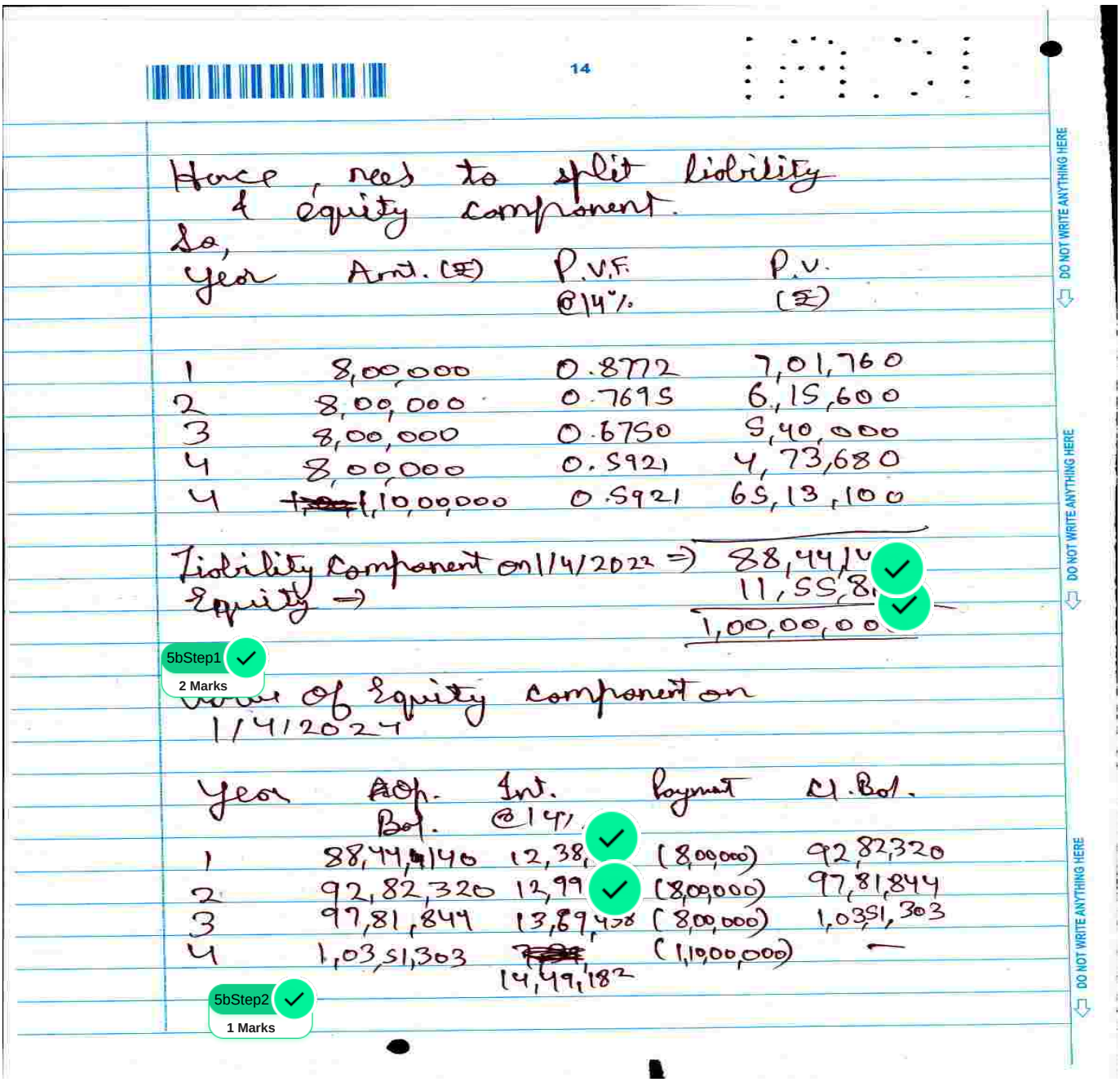
~~to~~ Carrying amount of debentures on April 1, 2024 ⇒ ~~[illegible]~~ ₹ 1,05,00,000.

* Face value ⇒ 100 × 1,00,000 ⇒ ₹1,00,00000
Premium ⇒ 1,00,00,000 × 10% ⇒ ₹ 10,00,000
Carrying Amt. ⇒ 1,00,00,000 + 10,00,000 × 2/4

⇒ ₹1,05,00,000 [As per AS]

As per Ind AS 101, First Time Adoption of Ind AS, an entity may choose to show convertible instruments at carrying value as per previous GAAP if no liability is outstanding on date of transition.
Where, liability is outstanding must apply Ind AS 109 retrospectively, to split liability & eq. Z component.

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14

Hence, need to split liability & equity component.

So,

Year	Amt. (₹)	P.V.F. @14%	P.V. (₹)
1	8,00,000	0.8772	7,01,760
2	8,00,000	0.7695	6,15,600
3	8,00,000	0.6750	5,40,000
4	8,00,000	0.5921	4,73,680
4	~~1~~ 10,00,000	0.5921	65,13,100

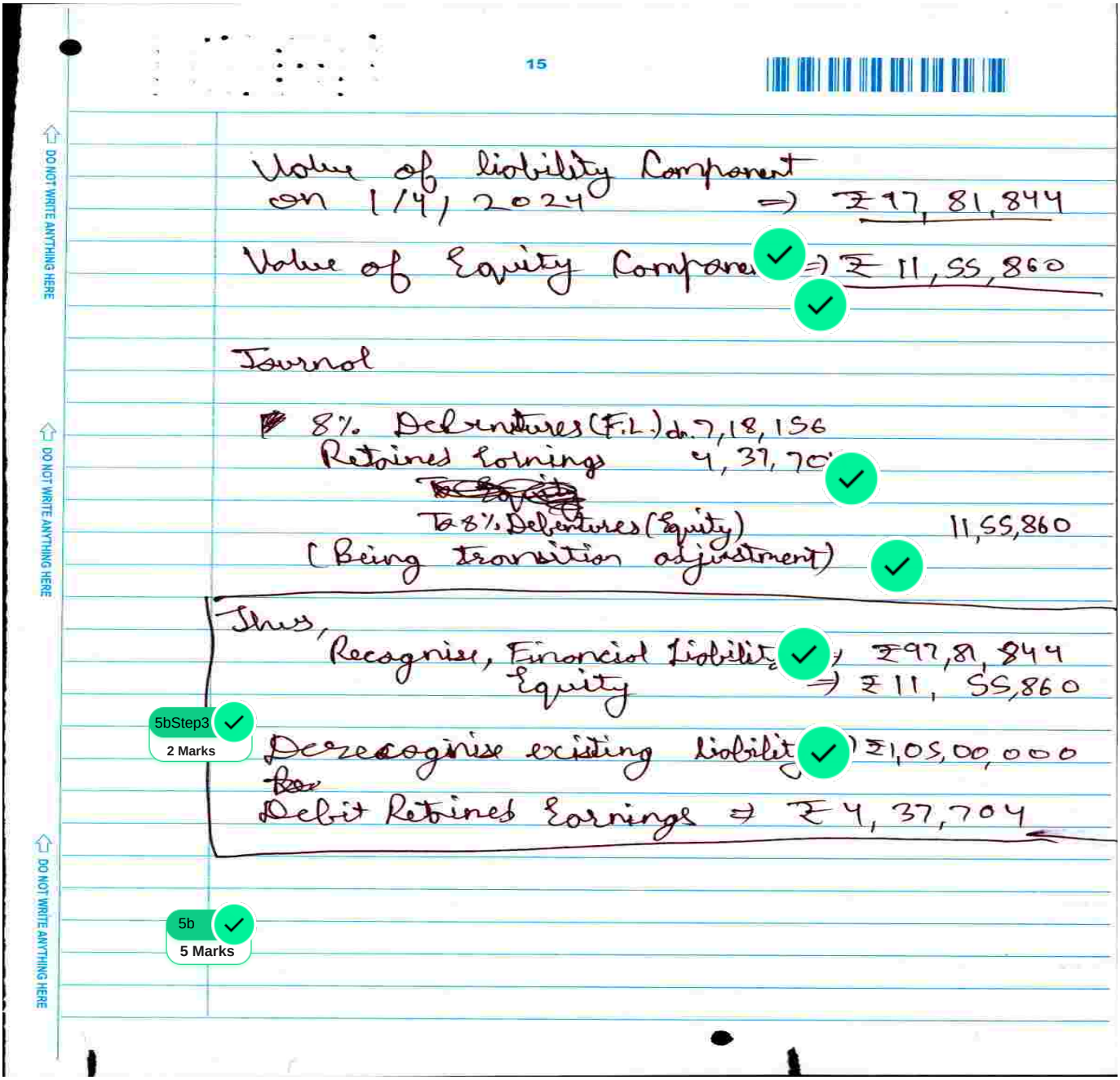
Liability Component on 1/4/2022 ⇒ 88,44,140
Equity ⇒ 11,55,860
1,00,00,000

5bStep1 2 Marks

Value of Equity Component on 1/4/2024

Year	Opn. Bal.	Int. @14%	Payment	Cl. Bal.
1	88,44,140	12,38,180	(8,00,000)	92,82,320
2	92,82,320	12,99,525	(8,00,000)	97,81,844
3	97,81,844	13,69,459	(8,00,000)	1,03,51,303
4	1,03,51,303	~~7~~ 14,48,182	(1,10,00,000)	—

5bStep2 1 Marks



15

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Value of liability Component on 1/4/2024 ⇒ ₹97,81,844

Value of Equity Component ⇒ ₹11,55,860

Journal

8% Debentures (F.L.) dr. 7,18,156
Retained Earnings dr. 4,37,704
To 8% Debentures (Equity) 11,55,860
(Being transition adjustment)

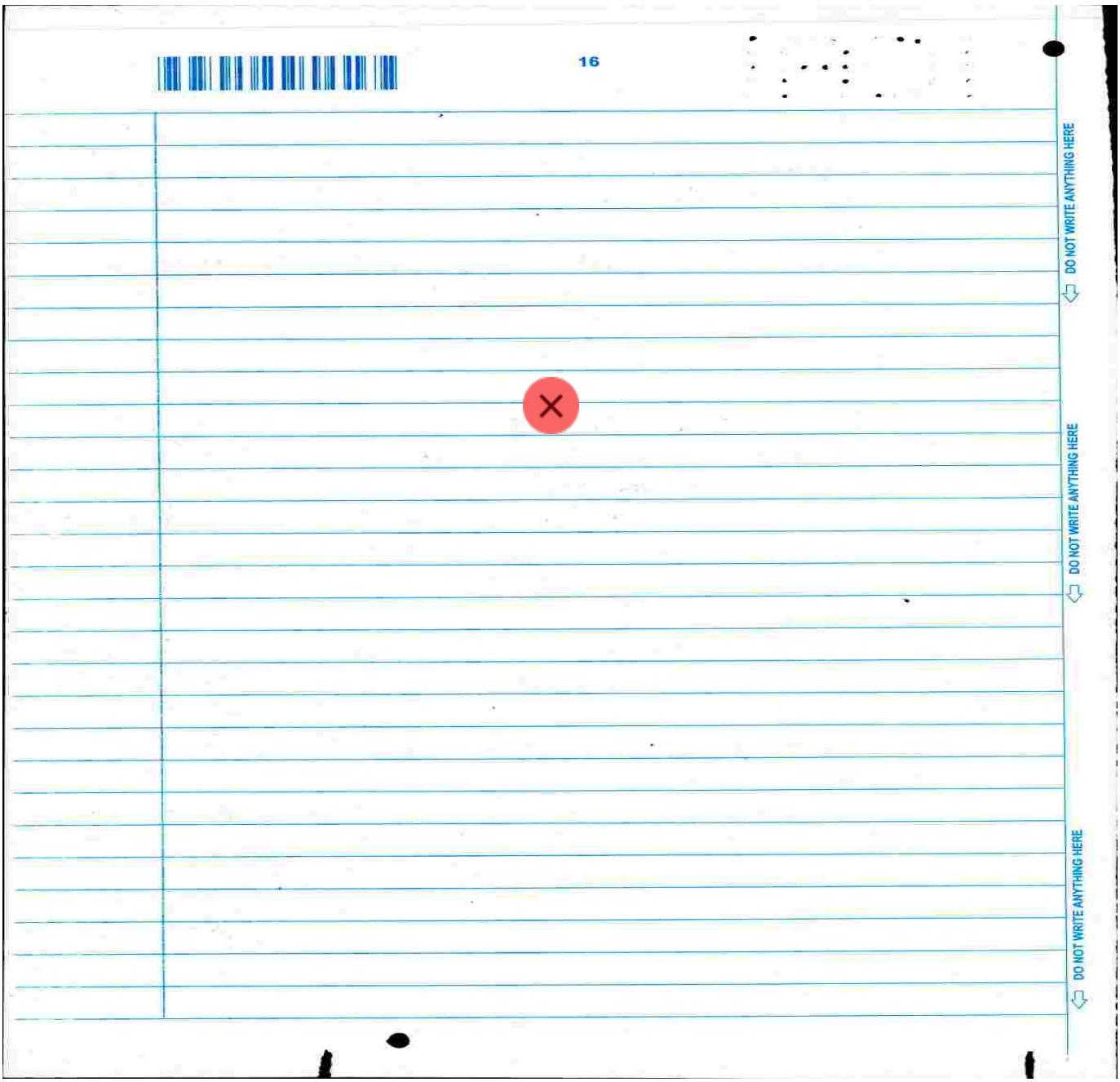
Thus,
Recognise, Financial liability ⇒ ₹97,81,844
Equity ⇒ ₹11,55,860

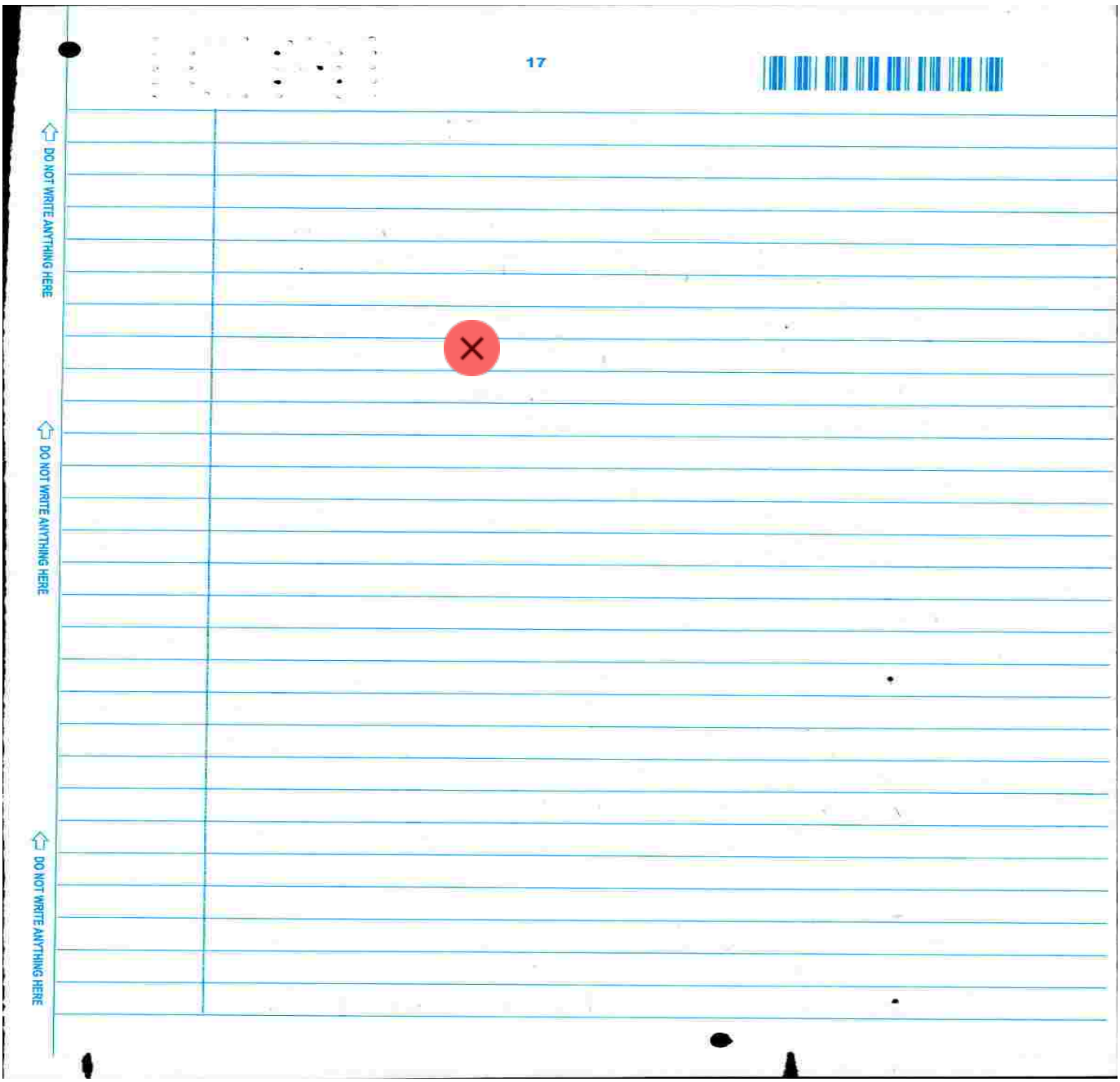
5bStep3
2 Marks

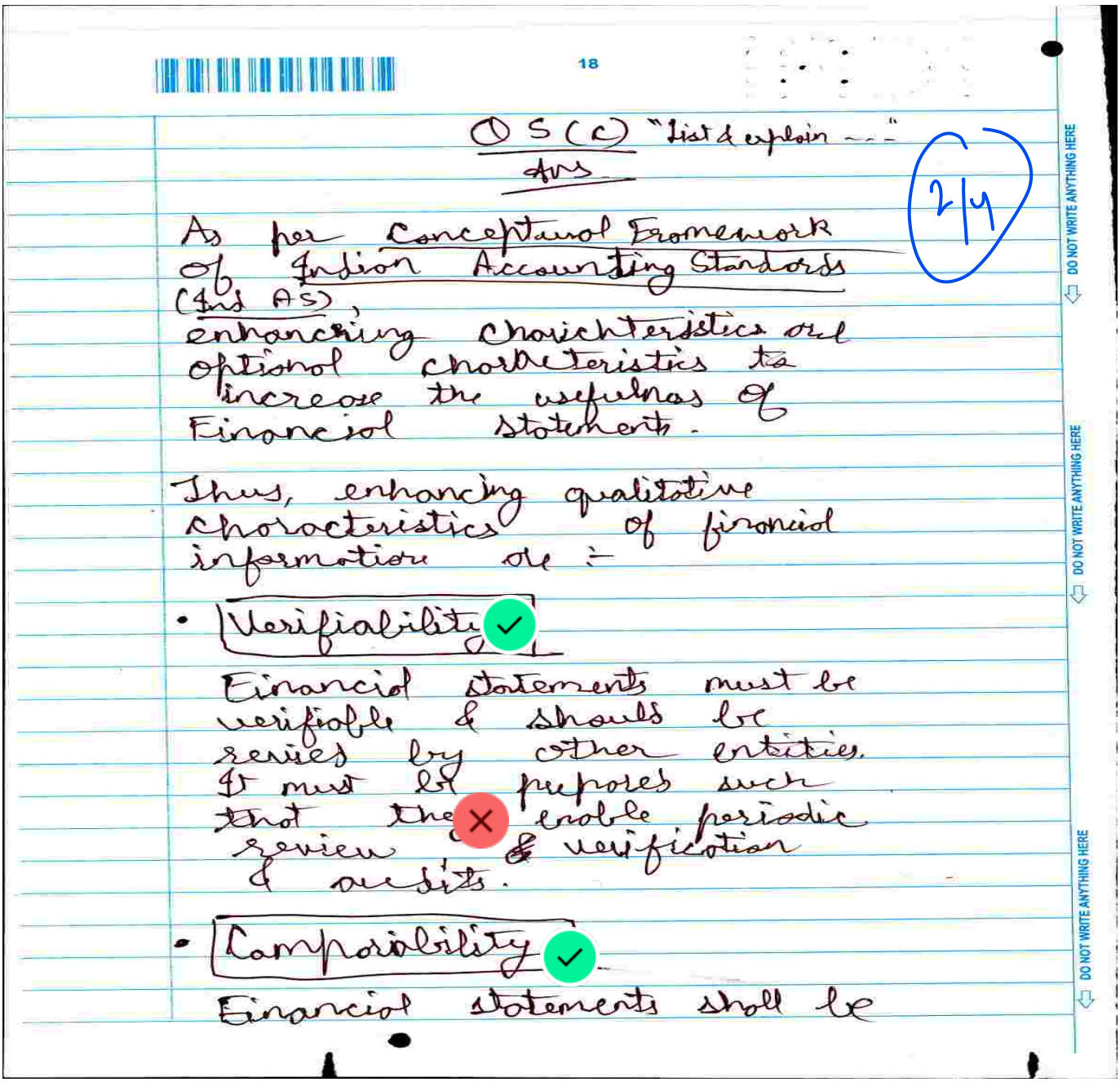
Derecognise existing liability ₹1,05,00,000
to
Debit Retained Earnings ⇒ ₹4,37,704

5b
5 Marks

Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5




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18

Q 5 (c) "List & explain ---"

Ans

2/4

As per Conceptual Framework of Indian Accounting Standards (Ind AS), enhancing characteristics and optional characteristics to increase the usefulness of Financial statements.

Thus, enhancing qualitative characteristics of financial information are :-

- **Verifiability** ✓

Financial statements must be verifiable & should be reviewed by other entities. It must be prepared such that the ✗ enable periodic review & verification & audits.

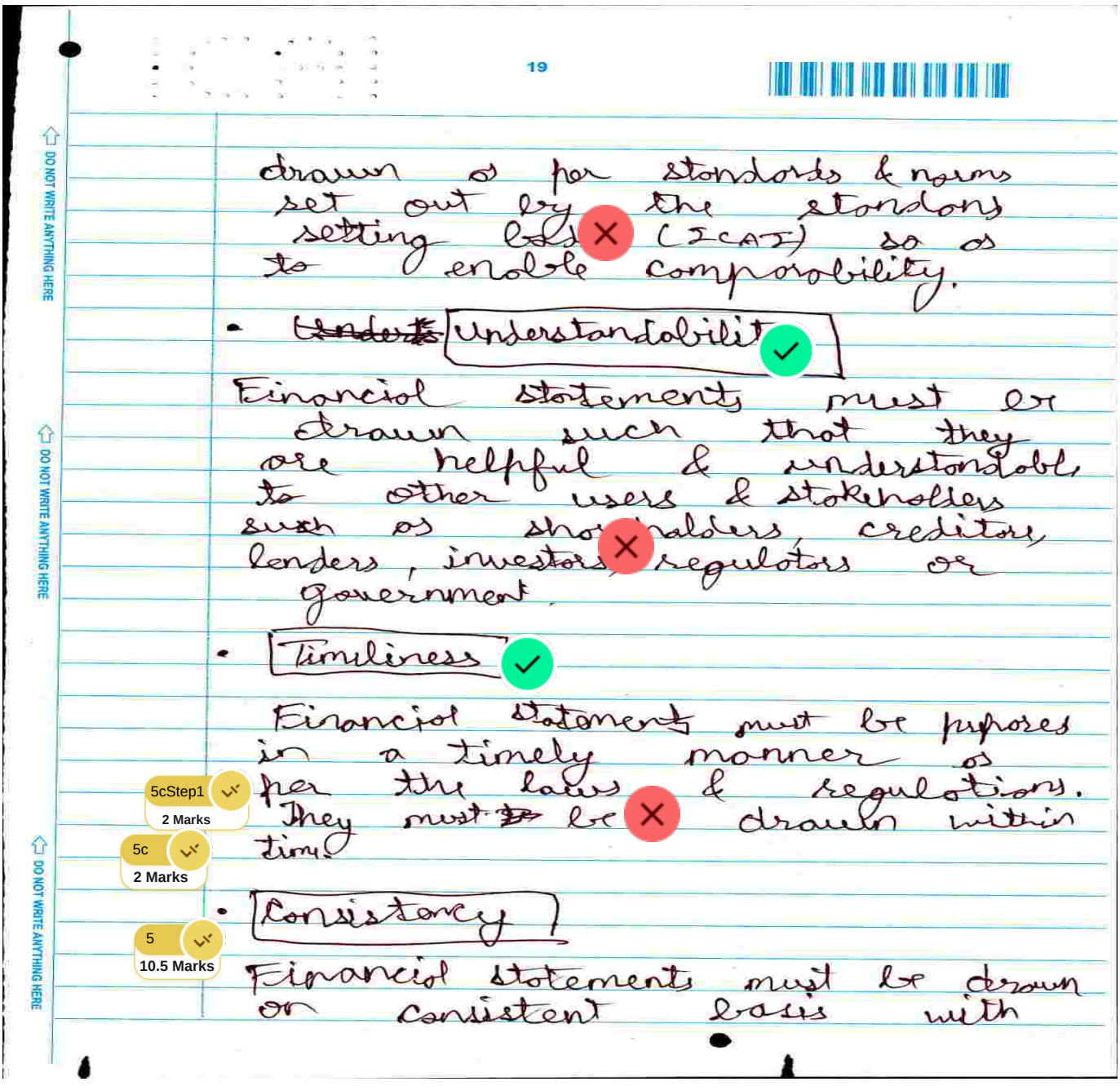
- **Comparability** ✓

Financial statements shall be

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19

drawn as per standards & norms set out by the standard setting bodies (ICAI) so as to enable comparability.

- ~~Unders~~ Understandability

Financial statements must be drawn such that they are helpful & understandable to other users & stakeholders such as shareholders, creditors, lenders, investors, regulators or government.

- Timeliness

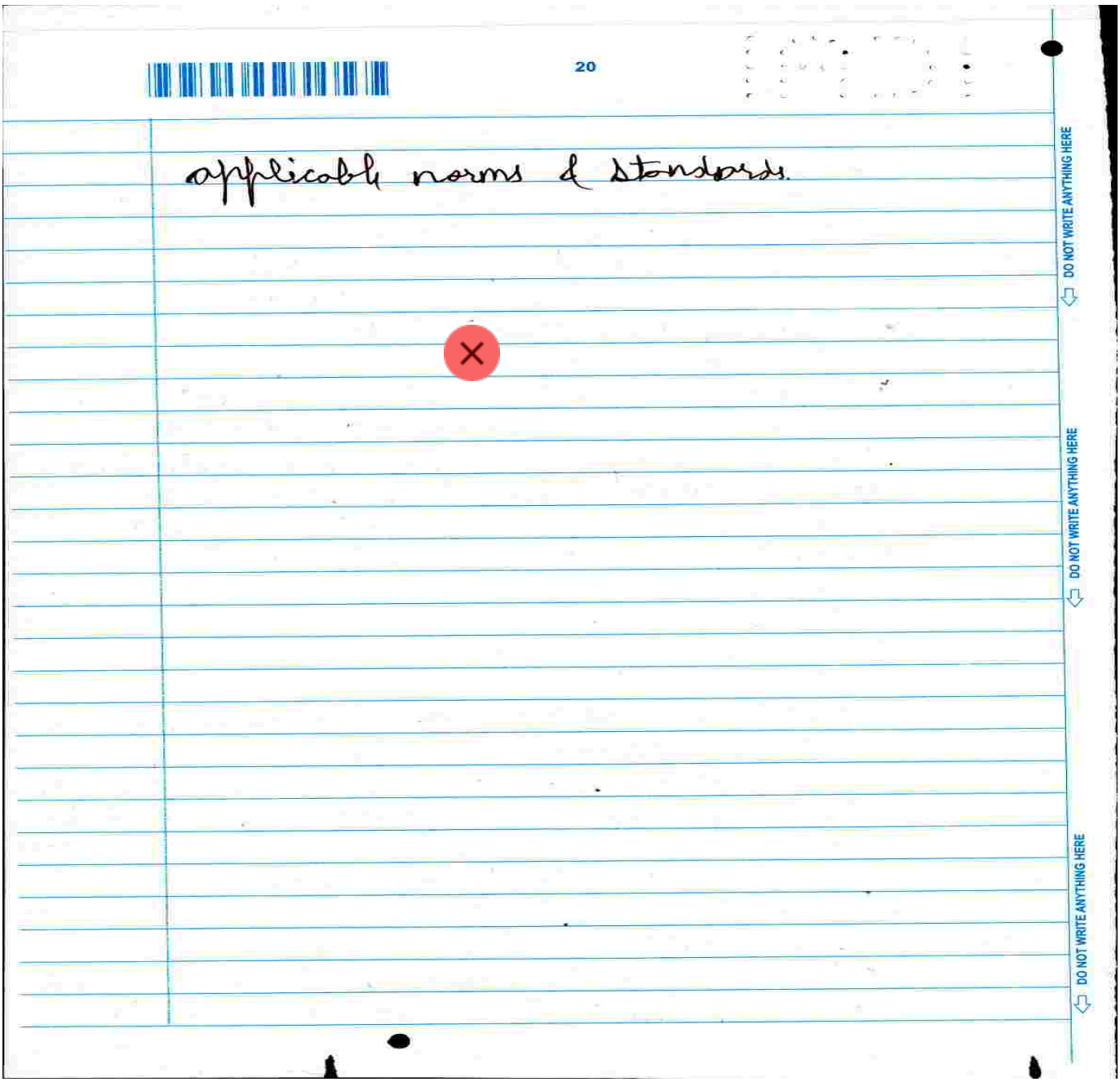
Financial statements must be purposes in a timely manner as per the laws & regulations. They must be drawn within time.

- Consistency

Financial statements must be drawn on consistent basis with

5cStep1 2 Marks
5c 2 Marks
5 10.5 Marks

Code:	FN1FR874519	**Total Marks:**	70
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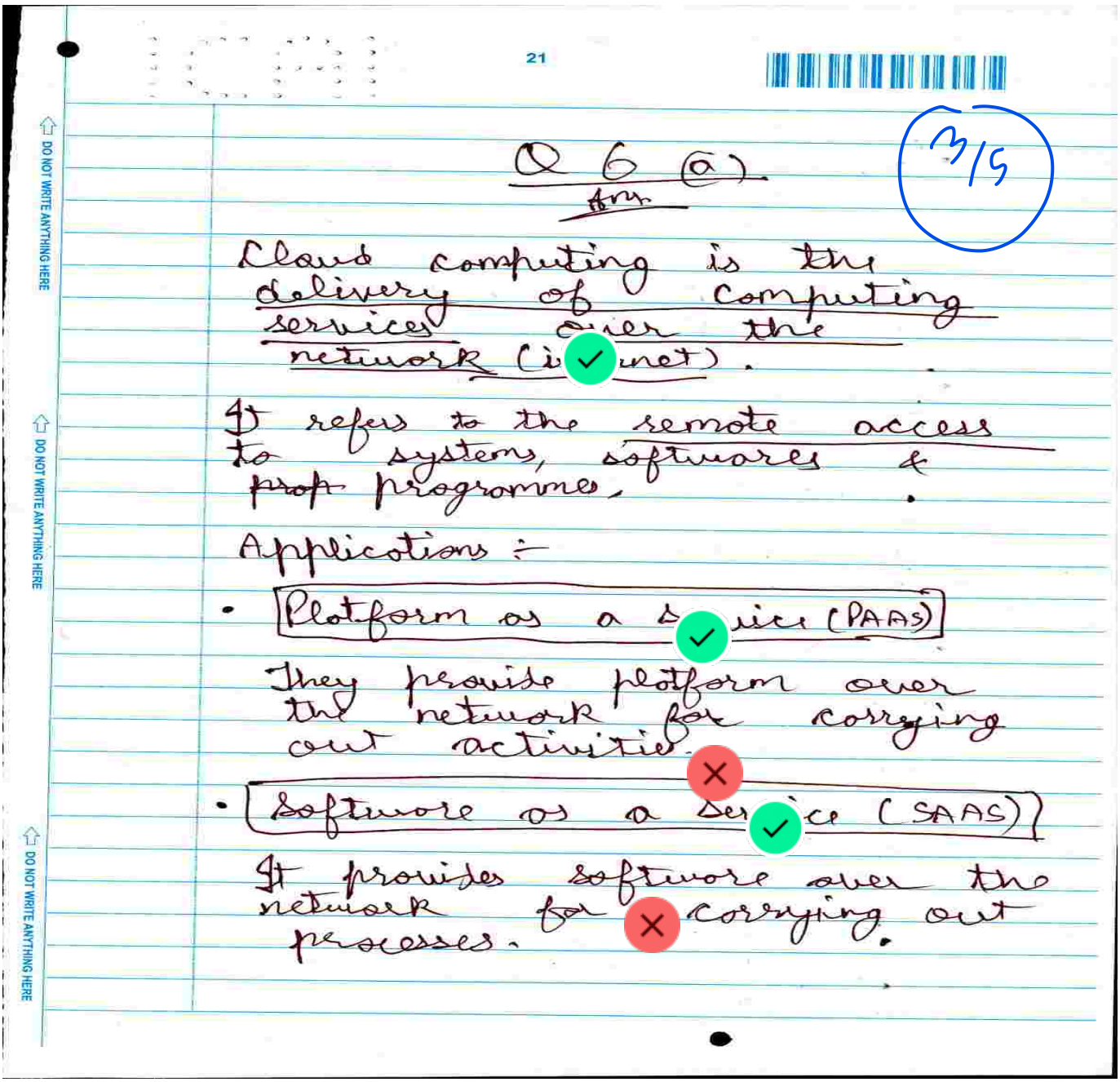
20

applicable norms & standards.

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21

3/5

Q 6 (a).

Ans.

Cloud computing is the delivery of computing services over the network (i.e. net).

It refers to the remote access to systems, softwares & hardware programmes.

Applications :-

- Platform as a Service (PAAS)

They provide platform over the network for carrying out activities.

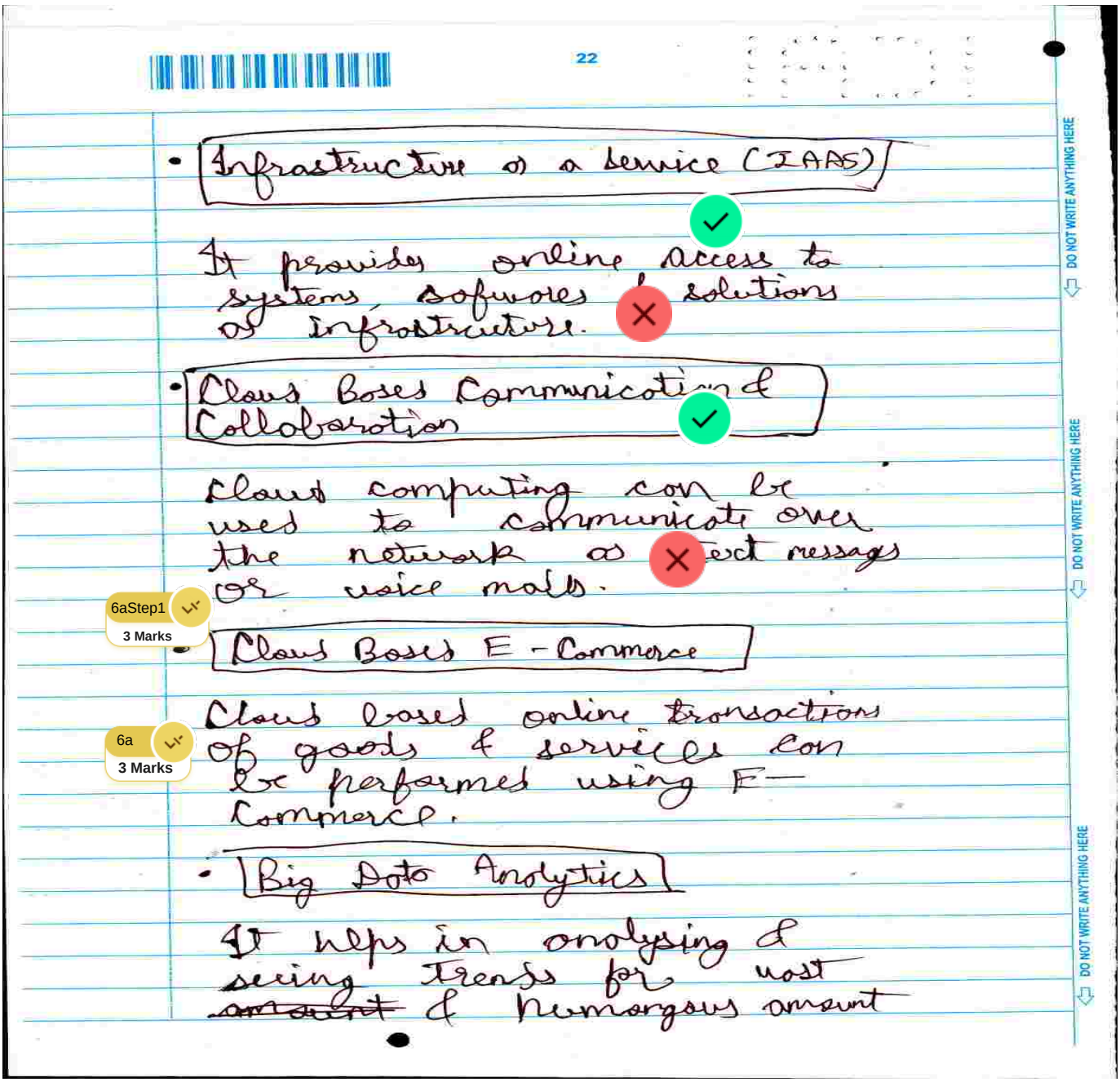
- Software as a Service (SAAS)

It provides software over the network for carrying out processes.

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22

- Infrastructure as a Service (IAAS)

It provides online access to systems, softwares & solutions of infrastructure.

- Cloud Based Communication & Collaboration

Cloud computing can be used to communicate over the network as text messages or voice mails.

6aStep1 — 3 Marks

- Cloud Based E-Commerce

Cloud based online transactions of goods & services can be performed using E-Commerce.

6a — 3 Marks

- Big Data Analytics

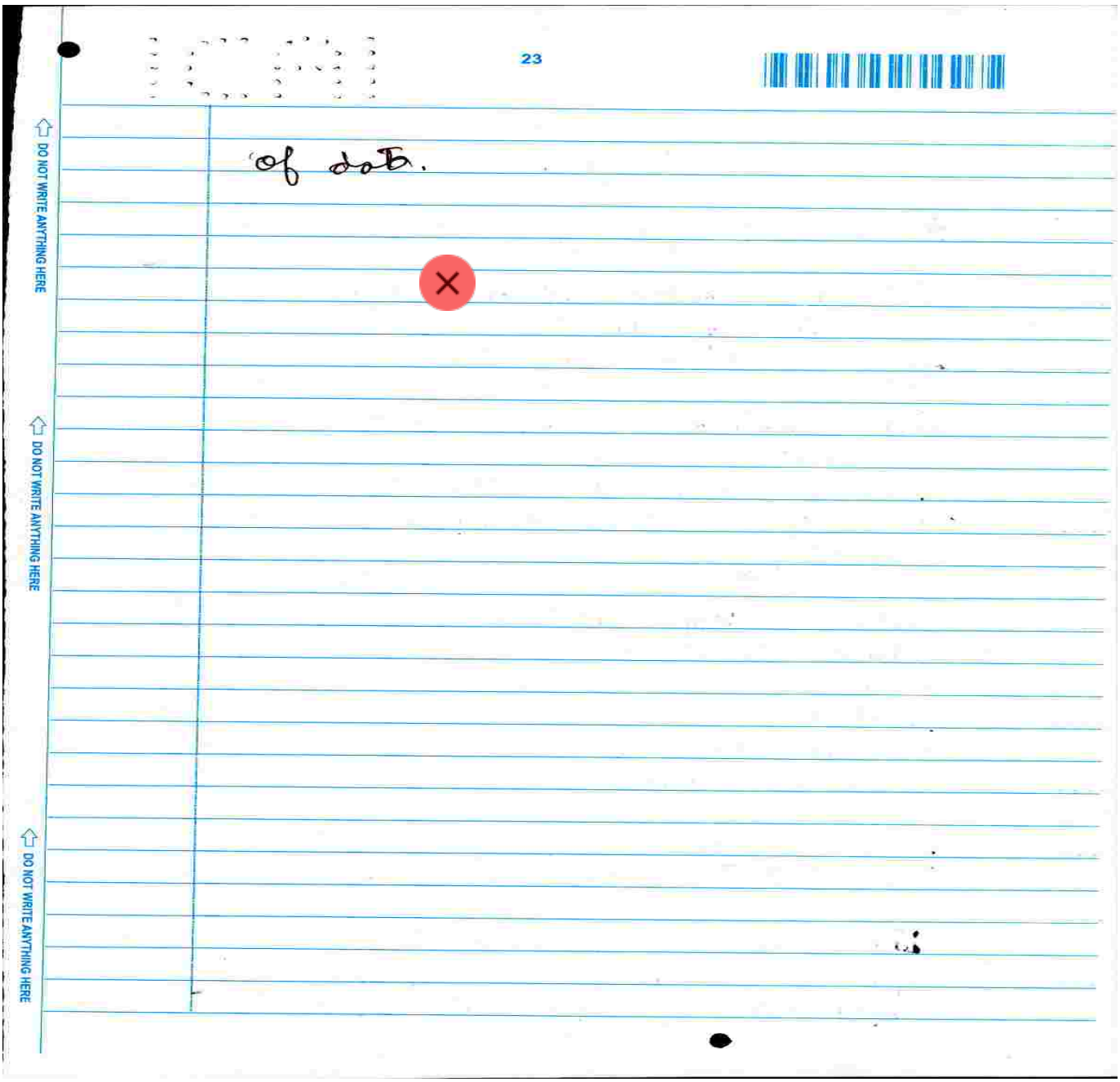
It helps in analysing & seeing trends for vast & humongous amount

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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



5/5

Q6(b)

As per Ind AS 23, Borrowing Cost, interest & other finance cost can be capitalised if used for a qualifying asset.

Since, building takes substantial amount of time to get ready for it intended use or sale, it is qualifying asset.

Further, capitalisation commences from later of :-
- development activities on asset started.
- loan taken.
- expense incurred.

and ceases when asset gets ready for intended use or sold.

Since, floor I, floor II & floor III, will be operational as soon as they get completed,

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25

Capitalisation for floor I, II & III must cease on 30th September.

Assuming, all the costs are actually incurred,

₹ 'lakhs

	Floor I	Floor II	Floor III	Floor IV	Floor V
Cash & Exp.	60	40	60	100	120
Building Mat. Purchase	88	70	74	120	152
	148	110	134	220	272

Total Exp. ⇒ ₹ 884 lakh
Loan @ 12% ⇒ ₹ 900 lakh.
Int. ⇒ ₹ 900 lakh × 12% ⇒ ₹ 108 lakh.

Interest capitalised for Floor IV & V

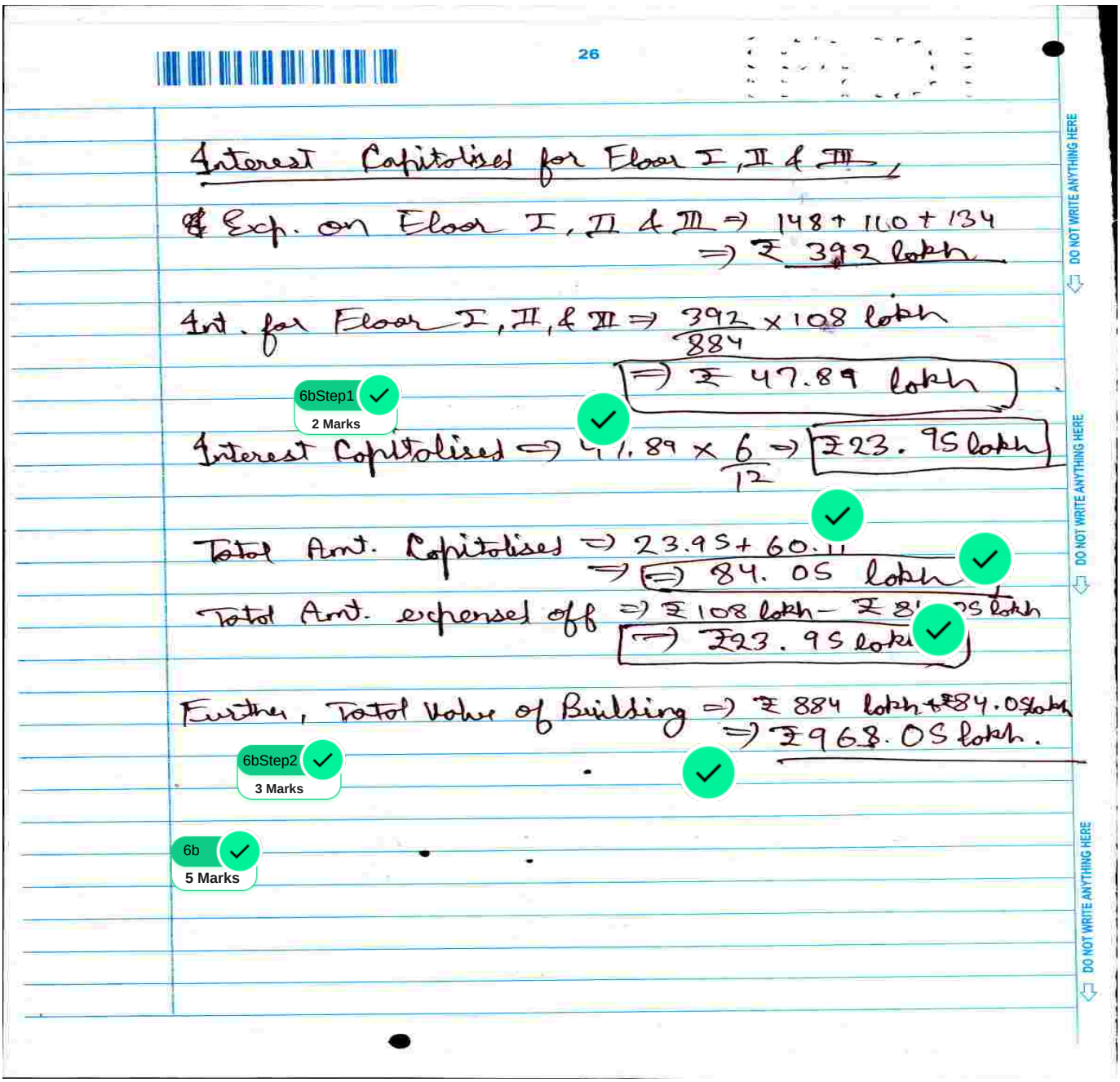
~~⇒ 108 ×~~

Expenditure ⇒ ₹ 220 lakh + ₹ 272 lakh
⇒ ₹ 492 lakh

Interest Capitalised ⇒ $\frac{492 \text{ lakh}}{884 \text{ lakh}} \times ₹ 108 \text{ lakh}$

~~⇒ ₹ 500.90 lakh~~

⇒ ₹ 60.11 lakh



26

Interest Capitalised for Floor I, II & III

Exp. on Floor I, II & III ⇒ 148 + 110 + 134
⇒ ₹ 392 lakh

Int. for Floor I, II, & III ⇒ $\frac{392}{884} \times 108$ lakh
⇒ ₹ 47.89 lakh

6bStep1 ✓
2 Marks

Interest Capitalised ⇒ $47.89 \times \frac{6}{12}$ ⇒ ₹23.95 lakh

Total Amt. Capitalised ⇒ 23.95 + 60.11
⇒ 84.05 lakh

Total Amt. expensed off ⇒ ₹108 lakh − ₹84.05 lakh
⇒ ₹23.95 lakh

Further, Total Value of Building ⇒ ₹884 lakh + ₹84.05 lakh
⇒ ₹968.05 lakh.

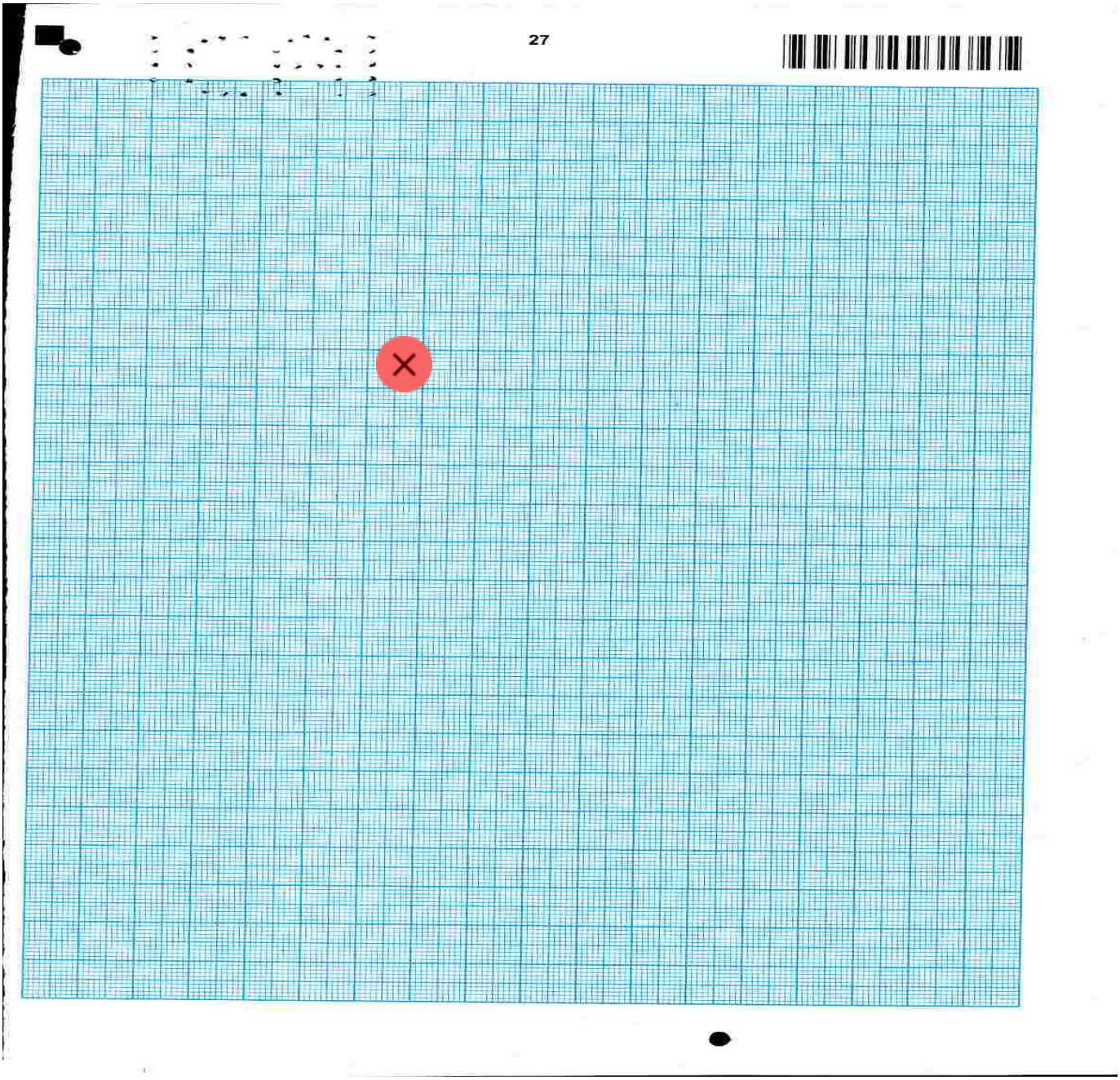
6bStep2 ✓
3 Marks

6b ✓
5 Marks

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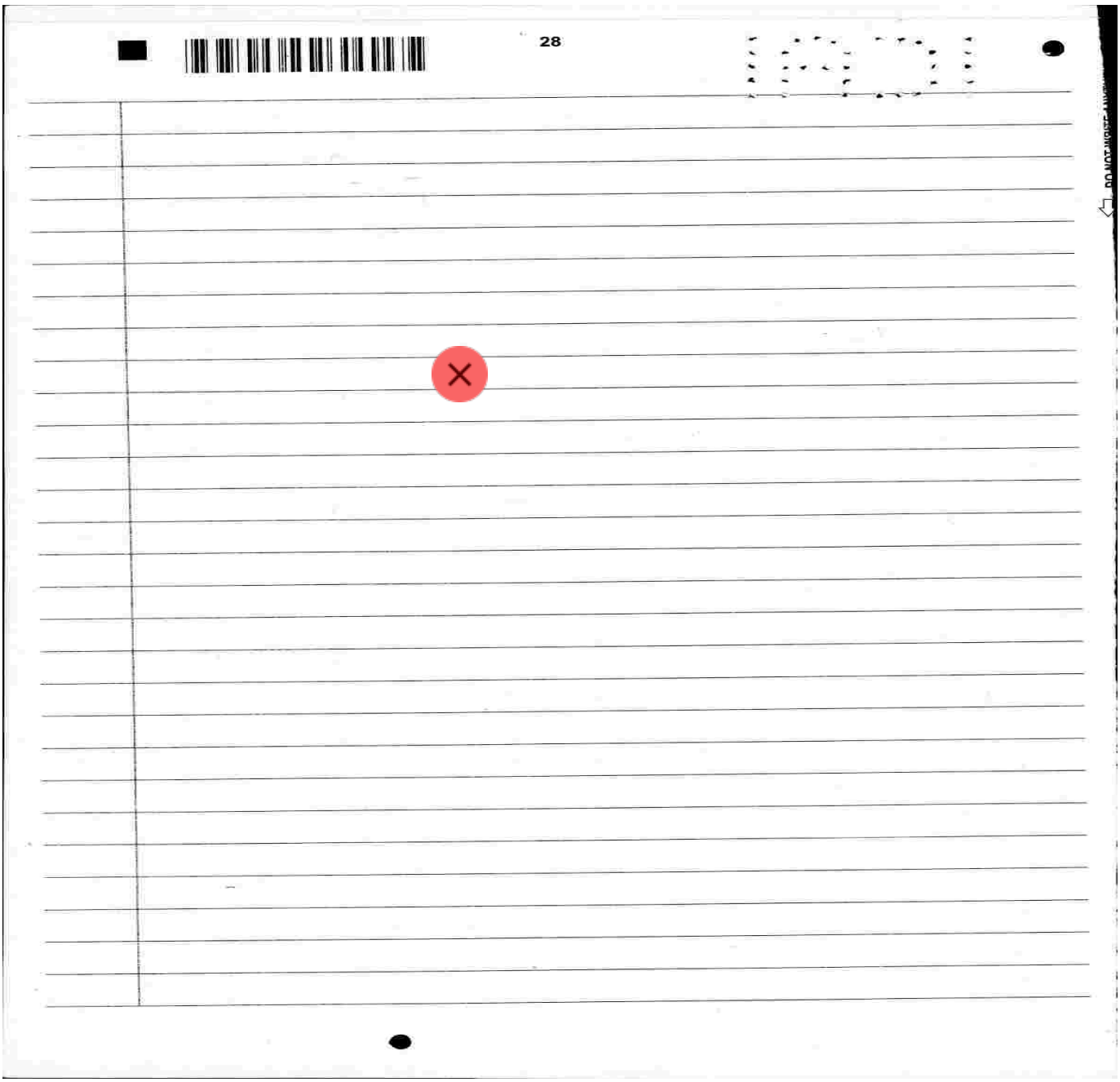
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The Institute of Chartered Accountants of India

Code:	FN1FR874519	**Total Marks:**	70
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1874519-01

Addl. B .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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However, if assumed that, Building Material Purchase is done on credit basis., Then,

Exp. incurred for Floor IV & V ⇒ ₹60+40
⇒ ₹100 lakh.

Exp. incurred for Floor I, II & III ⇒ 60+100+120
⇒ ₹280 lakh.

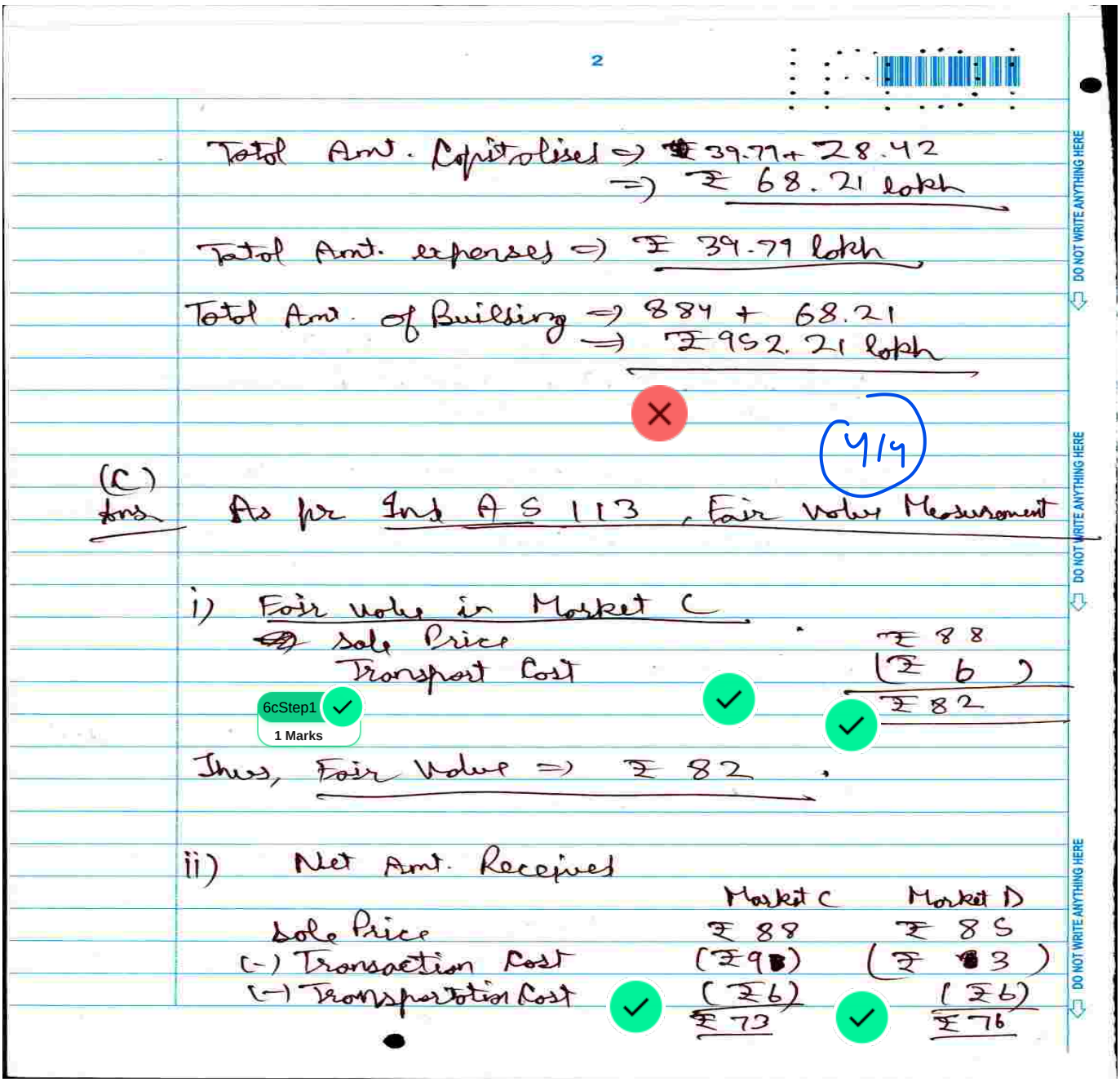
Total cash exp. ⇒ ₹380 lakh.

Exp. capitalised for Floor IV & V ⇒ $108 \times \frac{100}{380}$
⇒ ₹28.42 lakh

Int. for Floor I, II, III ⇒ $108 \times \frac{280}{380}$
⇒ ₹79.58 lakh

Capitalised
~~₹~~ 79.58 lakh × $\frac{6}{12}$
⇒ ₹39.79 lakh

Expensed
79.58 lakh × $\frac{6}{12}$
⇒ ₹39.79 lakh.



2

Total Amt. Capitalised ⇒ ₹ 39.79 + 28.42
⇒ ₹ 68.21 lakh

Total Amt. expensed ⇒ ₹ 39.79 lakh

Total Amt. of Building ⇒ 884 + 68.21
⇒ ₹ 952.21 lakh

4/4

(C) Ans As per Ind AS 113, Fair value Measurement

i) Fair value in Market C

Sale Price	₹ 88
Transport Cost	(₹ 6)
	₹ 82

6cStep1 ✓ 1 Marks

Thus, Fair Value ⇒ ₹ 82

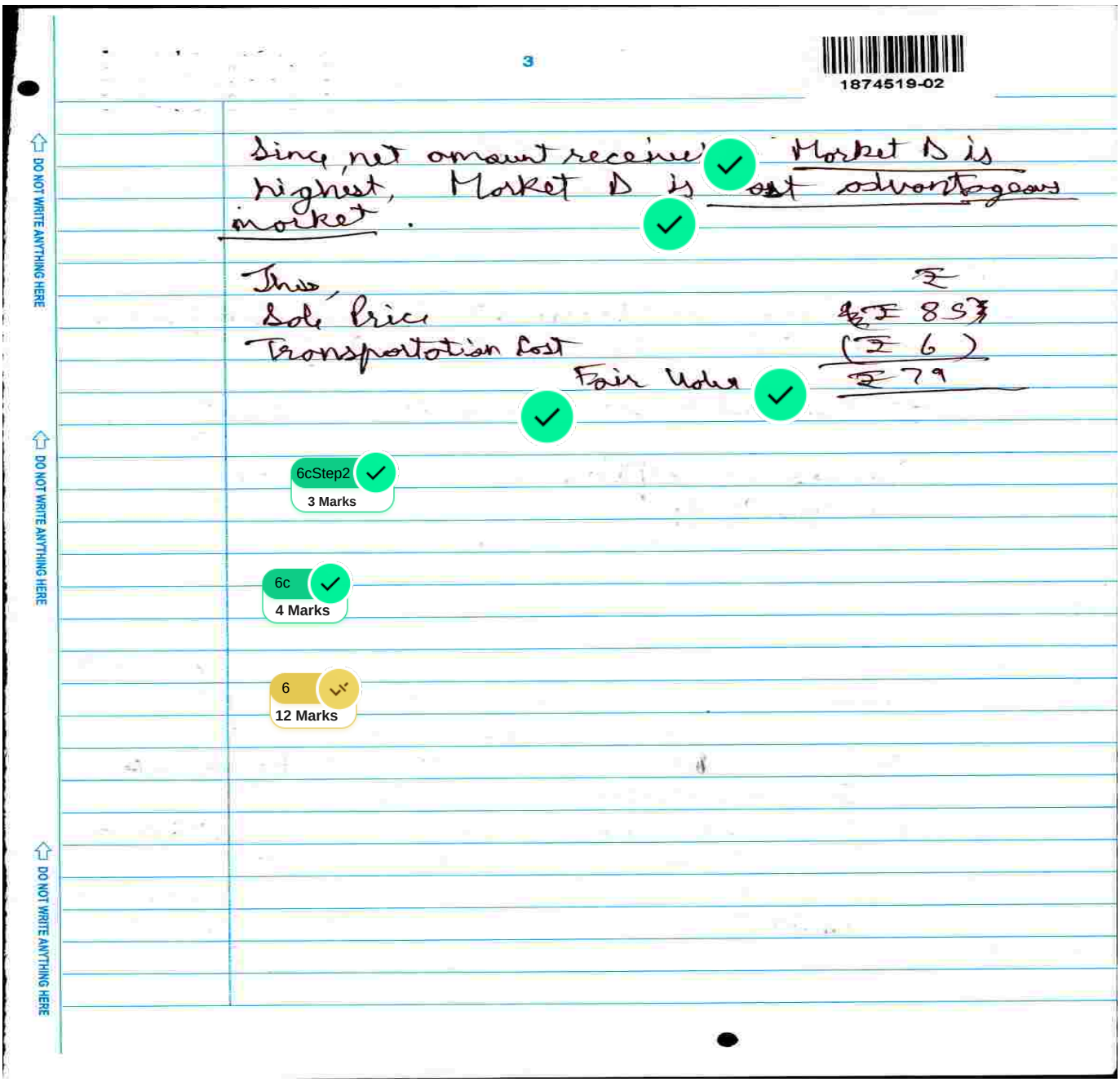
ii) Net Amt. Received

	Market C	Market D
Sale Price	₹ 88	₹ 85
(-) Transaction Cost	(₹ 9)	(₹ 3)
(-) Transportation Cost	(₹ 6)	(₹ 6)
	₹ 73	₹ 76

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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



3

1874519-02

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Since net amount received Market B is highest, Market B is most advantageous market.

Thus,

Sale Price	₹ 85
Transportation Cost	(₹ 6)
Fair Value	₹ 79

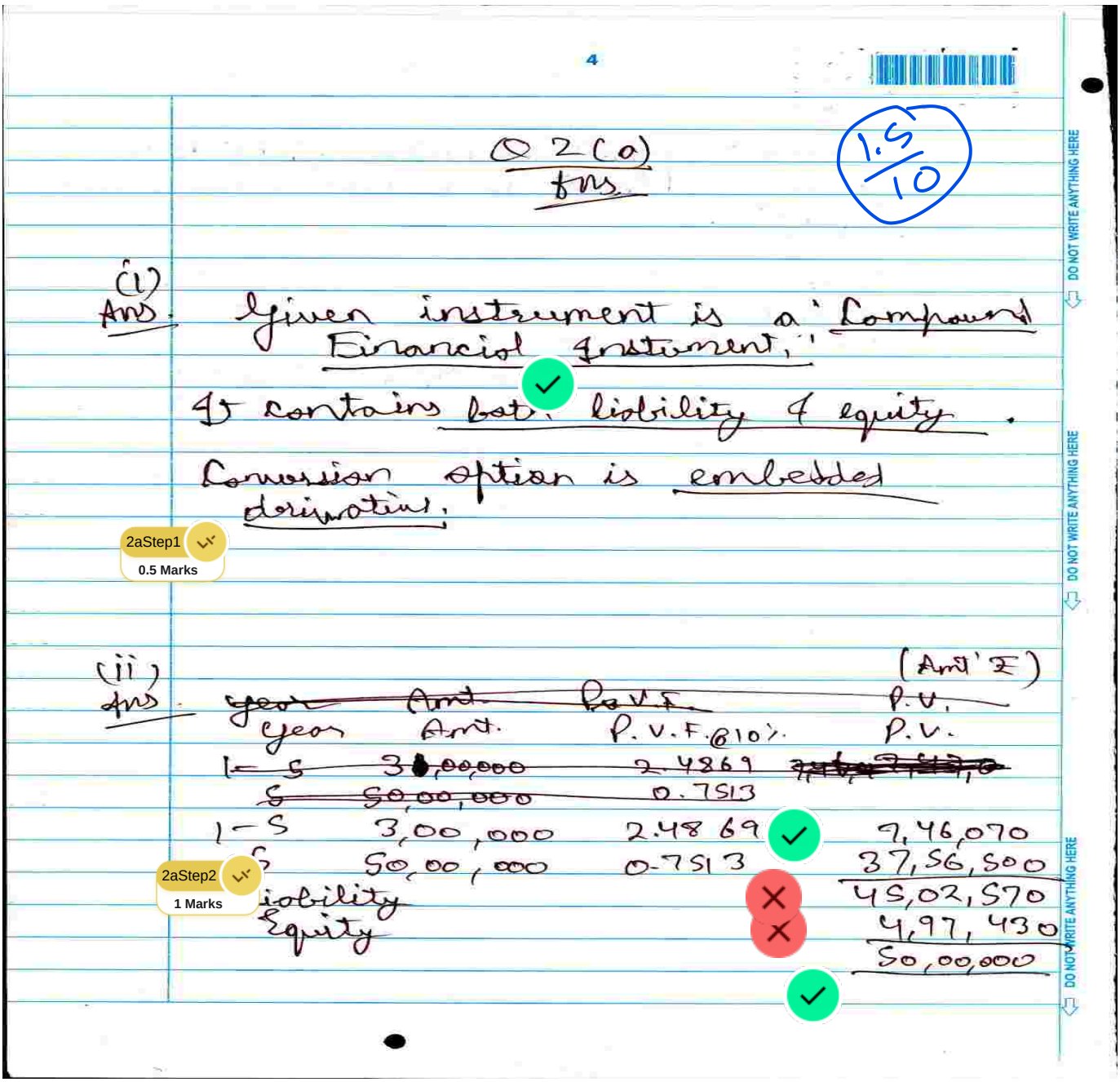
6cStep2 ✓
3 Marks

6c ✓
4 Marks

6 ✓
12 Marks

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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



4

Q 2 (a)
fms

1.5/10

(i)
Ans. Given instrument is a 'Compound Financial Instrument.'
It contains both liability & equity.
Conversion option is embedded derivative.

2aStep1
0.5 Marks

(ii)
fms

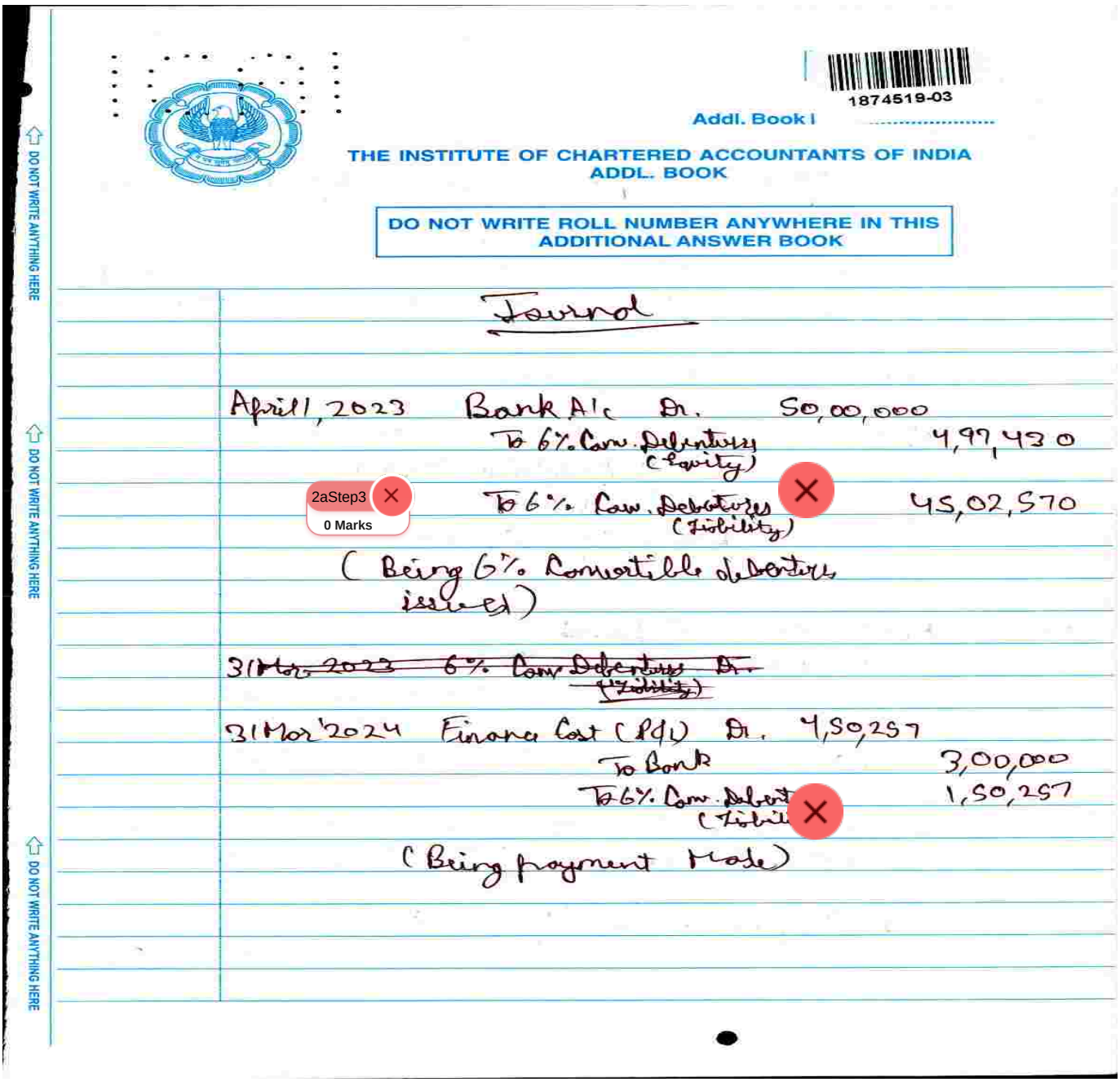
Year	Amt.	P.V.F.	(Amt' ₹) P.V.
~~1-5~~	~~3,00,000~~	~~2.4869~~	~~7,46,070~~
~~5~~	~~50,00,000~~	~~0.7513~~	
1-5	3,00,000	2.4869	7,46,070
5	50,00,000	0.7513	37,56,500
	Liability		45,02,570
	Equity		4,97,430
			50,00,000

2aStep2
1 Marks

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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



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Journal

April 1, 2023	Bank A/c	Dr.	50,00,000	
	To 6% Conv. Debentures (Equity)			4,97,430
	To 6% Conv. Debentures (Liability)			45,02,570

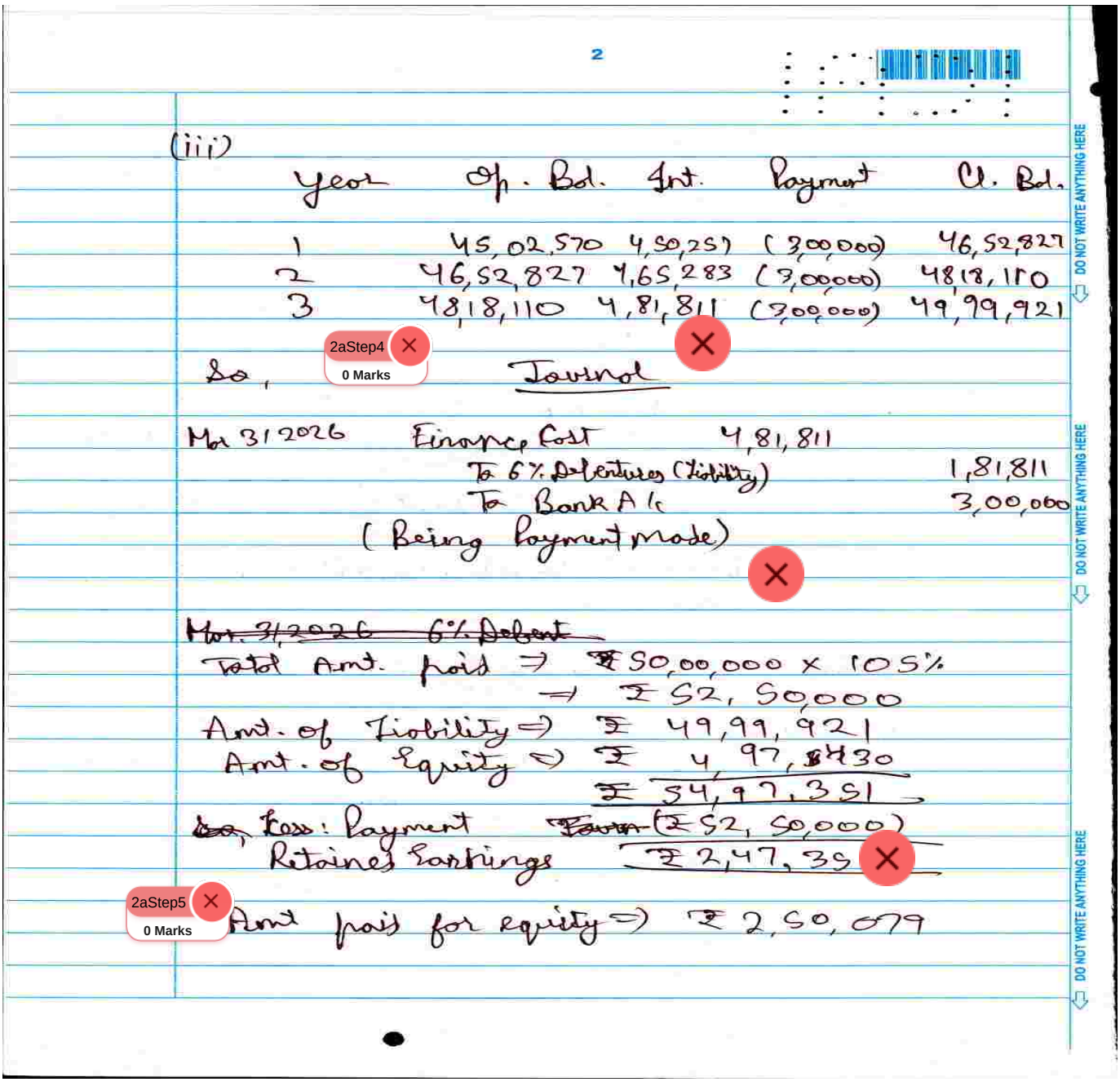
2aStep3 0 Marks

(Being 6% Convertible debentures issued)

~~31 Mar. 2023 6% Conv. Debentures Dr. (Liability)~~

31 Mar 2024	Finance Cost (P&L)	Dr.	4,50,257	
	To Bank			3,00,000
	To 6% Conv. Debentures (Liability)			1,50,257

(Being payment made)



2

(iii)

Year	Op. Bal.	Int.	Payment	Cl. Bal.
1	45,02,570	4,50,251	(3,00,000)	46,52,827
2	46,52,827	4,65,283	(3,00,000)	48,18,110
3	48,18,110	4,81,811	(3,00,000)	49,99,921

2aStep4 0 Marks

So, Journal

Mar 31 2026	Finance Cost	4,81,811	
	To 6% Debentures (Liability)		1,81,811
	To Bank A/c		3,00,000
	(Being Payment made)		

~~Mar 31, 2026 6% Debent~~

Total Amt. paid ⇒ ₹ 50,00,000 × 105%
⇒ ₹ 52,50,000

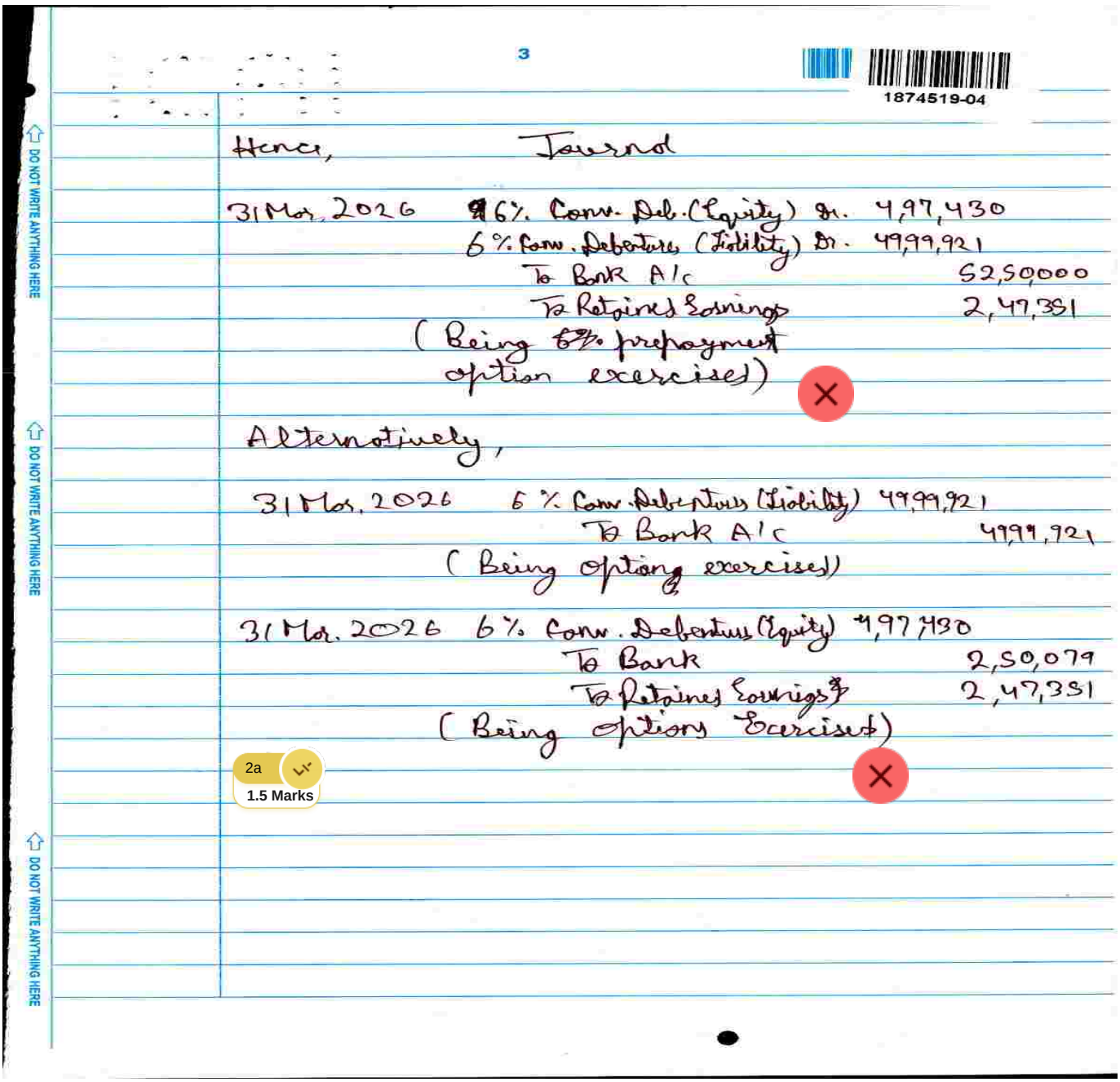
Amt. of Liability ⇒ ₹ 49,99,921
Amt. of Equity ⇒ ₹ 4,97,8430
₹ 54,97,351

~~So,~~ Less: Payment ~~Equity~~ (₹ 52,50,000)
Retained Earnings ₹ 2,47,35

2aStep5 0 Marks

Amt paid for equity ⇒ ₹ 2,50,079

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3

1874519-04

Hence, Journal

31 Mar, 2026	6% Conv. Deb. (Equity)	Dr.	4,97,430
	6% Conv. Debentures (Liability)	Dr.	4999,921
	To Bank A/c		52,50000
	To Retained Earnings		2,47,351
	(Being 6% prepayment option exercised)		

Alternatively,

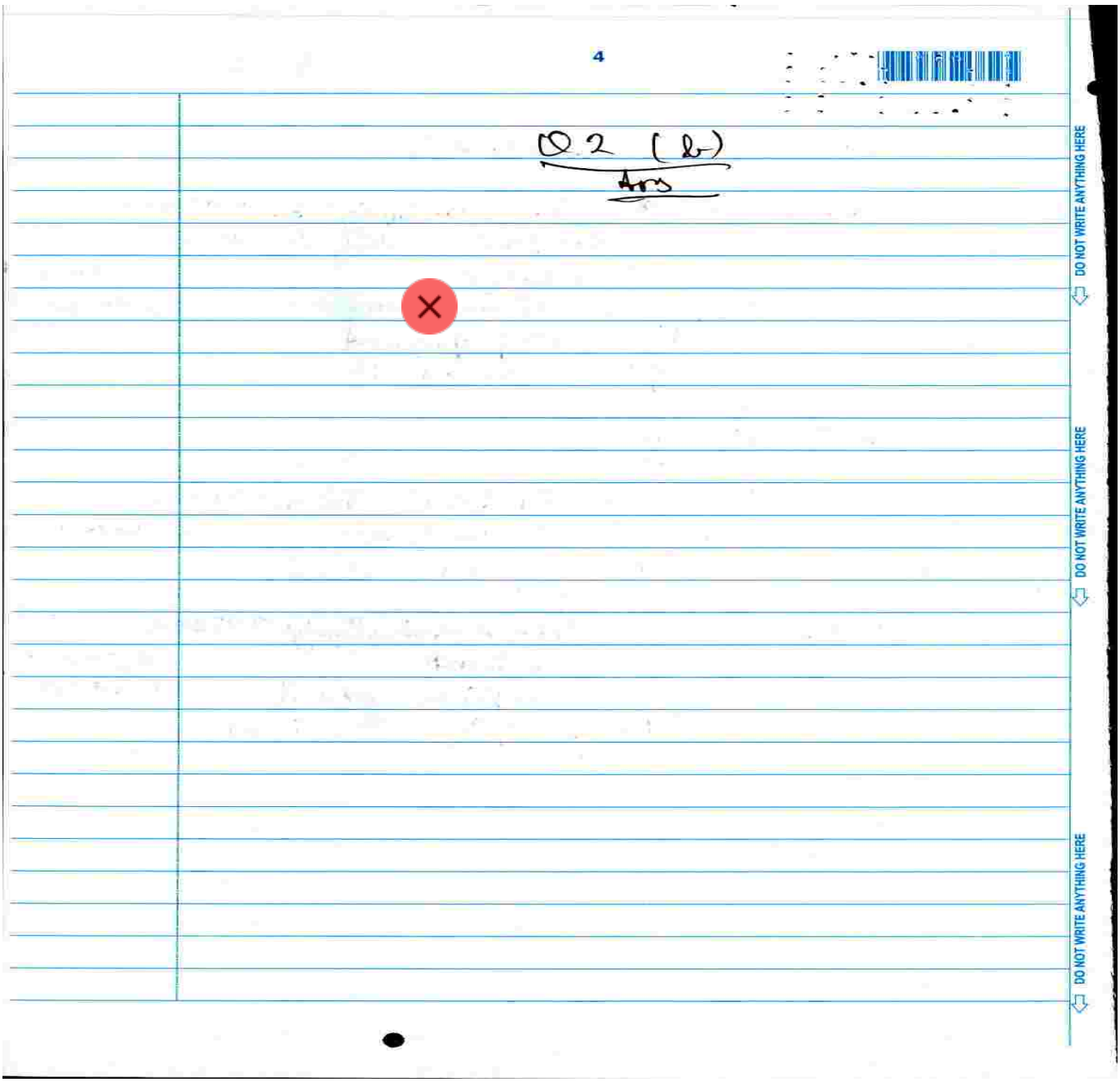
31 Mar, 2026	6% Conv. Debentures (Liability)		4999,921
	To Bank A/c		4999,921
	(Being option exercised)		

31 Mar, 2026	6% Conv. Debentures (Equity)		4,97,430
	To Bank		2,50,079
	To Retained Earnings		2,47,351
	(Being options Exercised)		

2a 1.5 Marks

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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



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4/4

Q2 (b)

Try.

As per Ind AS 34 'Interim Financial Statements'

i) As per Ind AS34, all the revenue & expenses in a quarter shall be recognised in the same quarter in which they occur.

They cannot be differed to next quarters on expection showing consistent performance trend.

Accordingly, Mr. Das is wrong in contention to recognise only ₹ 250 lakh in Q1.

So, recognise whole ₹ 800 lakh revenue in Quarter 1.

2bStep1
1 Marks

(ii)

Expected Pre Tax Profit ⇒ ₹1 crore.

Estimated Tax ⇒ 50 lakh x 25% + 50 lakh x 40%
⇒ ₹ 32.50 lakh

WATR ⇒ $\frac{32.50 \text{ lakh}}{100 \text{ lakh}} \times 100$ ⇒ 32.50%

Thus, tax in Q1 ⇒ ₹40 lakh x 32.50%
⇒ ₹ 13 lakh.

2bStep2
2 Marks

As per Ind AS 34, tax must be recognised in interim periods on based on Weighted Average Tax Rate.

Thus, Contention of Mr. Das is Wrong.

Shall recognise Tax @ ₹ 13,00,000.

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1874519-06

(iii) As per Ind AS 34 & Ind AS 8, a change in accounting estimate is to be accounted prospectively. Change in accounting estimate in subsequent quarter cannot be used to adjust or restate the results of earlier quarter ✓

Thus, Mr. ~~Das~~ Das is wrong in restating the financial statements of Q1 & Q2 to ✓ not treating earlier report in ✓ct.

Warranty Provision shall remain at 2% of sales of Q1 & Q2 ✓

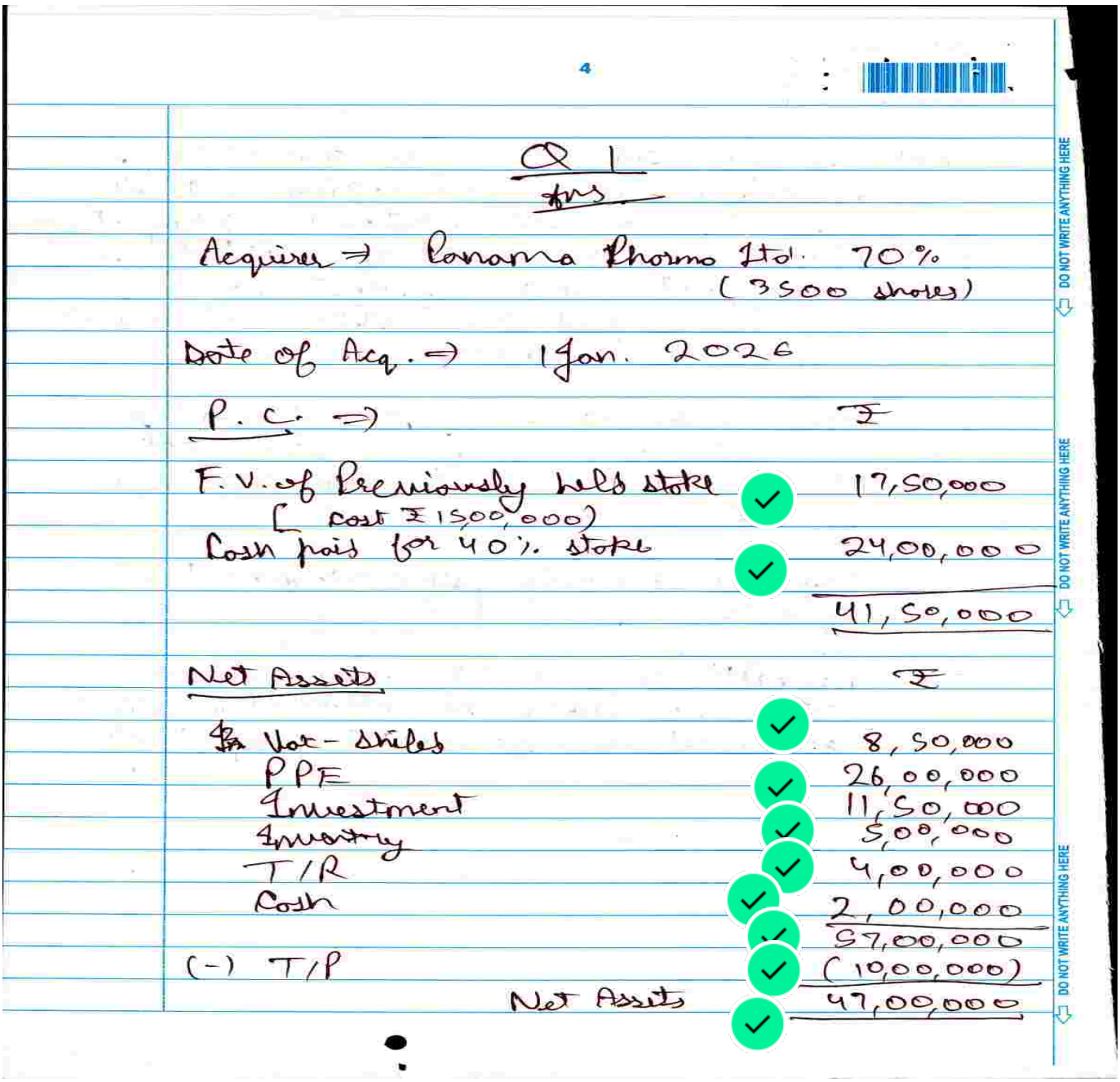
2bStep3 ✓ 1 Marks

Reports of Q1 & Q2 shall not be restated & change in accounting estimate ~~but~~ must be account ✓ prospectively.

2b ✓ 4 Marks

2 ✓ 5.5 Marks

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4

Q 1

Ans.

Acquirer ⇒ Panama Pharma Ltd. 70% (3500 shares)

Date of Acq. ⇒ 1 Jan. 2026

P.C. ⇒ ₹

F.V. of Previously held stake [Cost ₹15,00,000] 17,50,000

Cash paid for 40% stake 24,00,000

41,50,000

Net Assets ₹

Non-Shiles 8,50,000

PPE 26,00,000

Investment 11,50,000

Inventory 5,00,000

T/R 4,00,000

Cash 2,00,000

57,00,000

(-) T/P (10,00,000)

Net Assets 47,00,000

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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5

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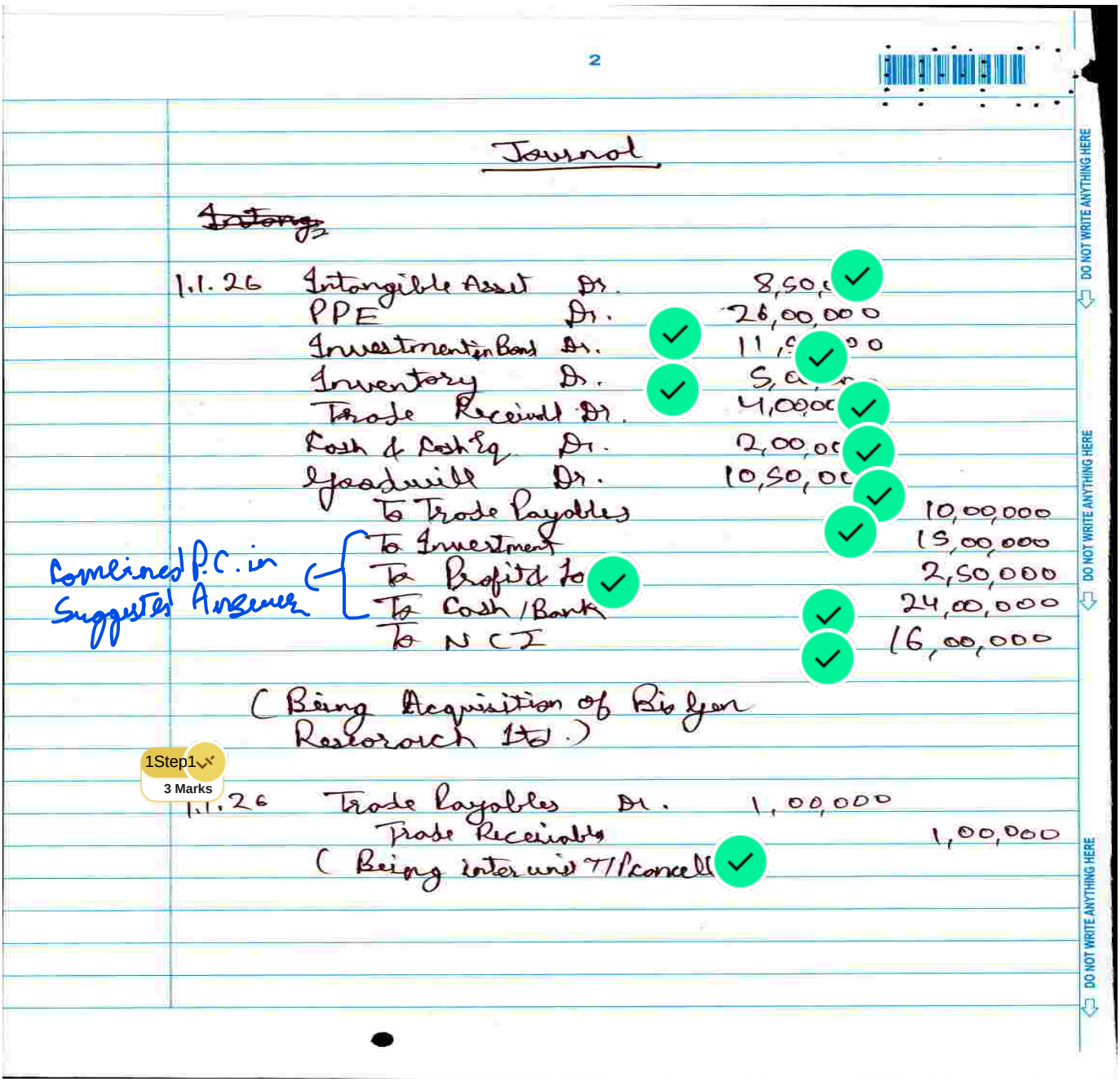
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NCI ⇒ ₹ 16,00,000

		₹
Goodwill		
P. C.	✓	41,50,000
NCI	✓	16,00,000
		57,50,000
(-) Net Assets	✓	(47,00,000)
G/w	✓	10,50,000



2

Journal

~~Jotong~~

1.1.26	Intangible Asset	Dr.	8,50,0	
	PPE	Dr.	26,00,000	
	Investment in Bond	Dr.	11,[illegible]00	
	Inventory	Dr.	5,[illegible]	
	Trade Receivable	Dr.	4,00,0	
	Cash & Cash Eq.	Dr.	2,00,0	
	Goodwill	Dr.	10,50,0	
	To Trade Payables			10,00,000
	To Investment			15,00,000
	To Profit & Loss			2,50,000
	To Cash / Bank			24,00,000
	To NCI			16,00,000

Combined P.C. in Suggested Answer

(Being Acquisition of Bio Lyon Research Ltd.)

1Step1
3 Marks

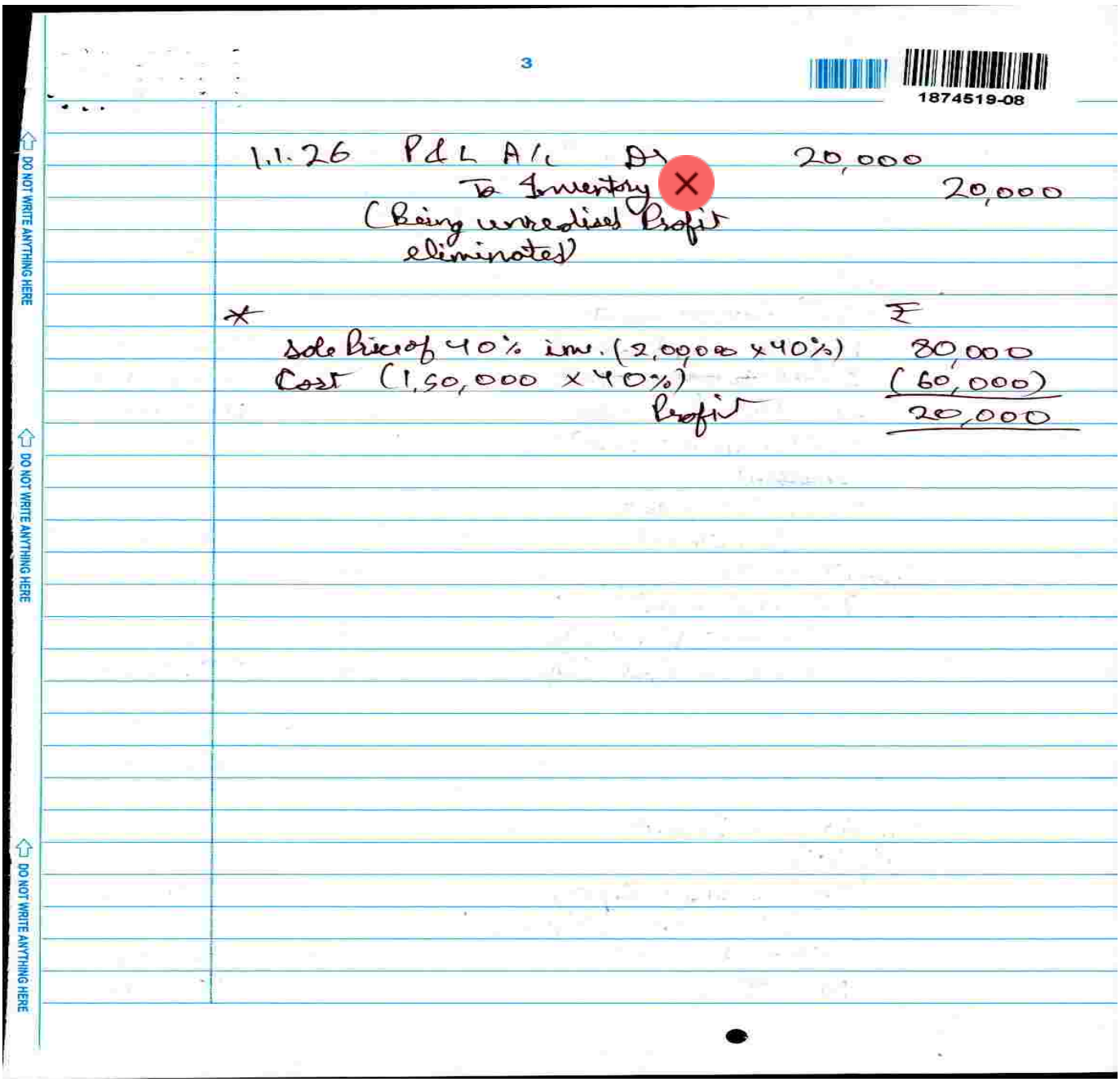
1.1.26	Trade Payables	Dr.	1,00,000	
	Trade Receivable			1,00,000

(Being inter unit T/L cancell

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1.1.26 P&L A/c Dr 20,000

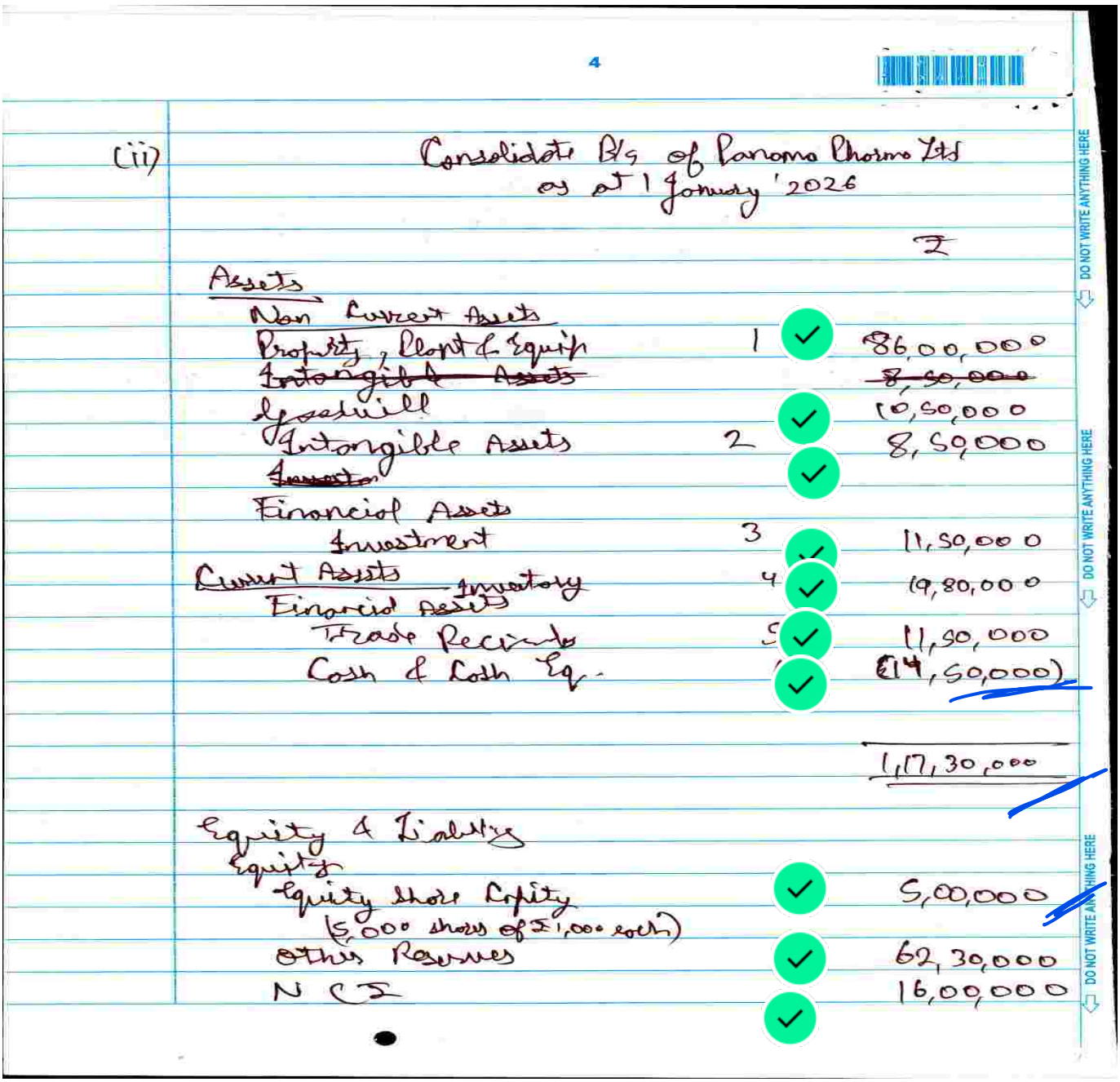
To Inventory 20,000

(Being unrealised Profit eliminated)

*

	₹
Sale Price of 40% inv. (2,00,000 × 40%)	80,000
Cost (1,50,000 × 40%)	(60,000)
Profit	20,000

Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



(ii) Consolidate B/s of Panama Pharma Ltd as at 1 January '2026

₹

Assets

Non Current Assets

Property, Plant & Equip — 1 — 86,00,000

~~Intangible Assets~~ — ~~8,50,000~~

Goodwill — 10,50,000

Intangible Assets — 2 — 8,50,000

~~Investments~~

Financial Assets

Investment — 3 — 11,50,000

Current Assets

Inventory — 4 — 19,80,000

Financial Assets

Trade Receivables — 5 — 11,50,000

Cash & Cash Eq. — (14,50,000)

1,17,30,000

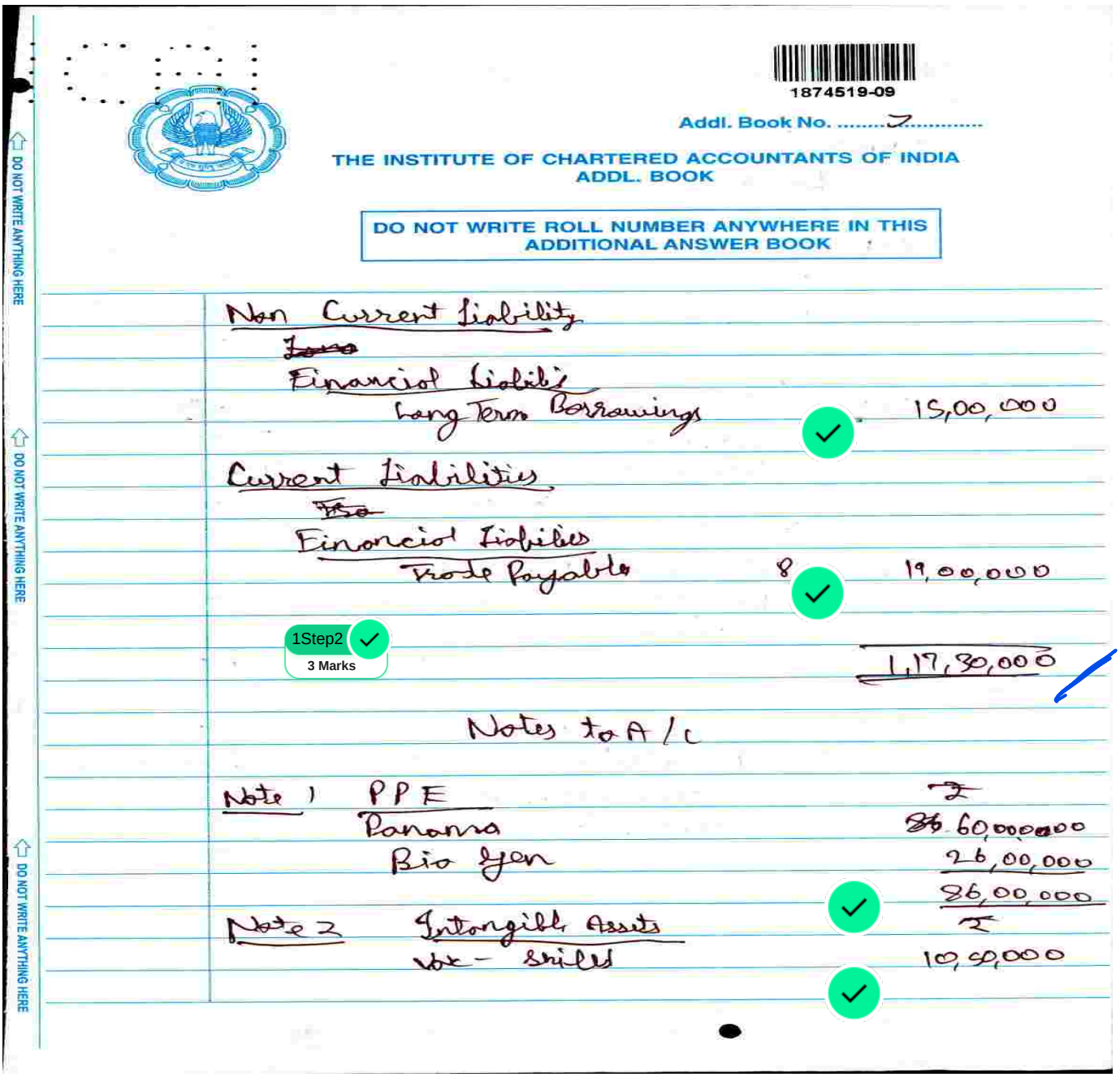
Equity & Liability

Equity

Equity Share Capital (5,000 shares of ₹1,000 each) — 5,00,000

Other Reserves — 62,30,000

N CI — 16,00,000



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Non Current Liability

~~Loans~~

Financial Liabilities

Long Term Borrowings — 15,00,000

Current Liabilities

~~Loans~~

Financial Liabilities

Trade Payable — 8 — 19,00,000

1Step2 3 Marks

1,17,30,000

Notes to A/c

Note 1 PPE

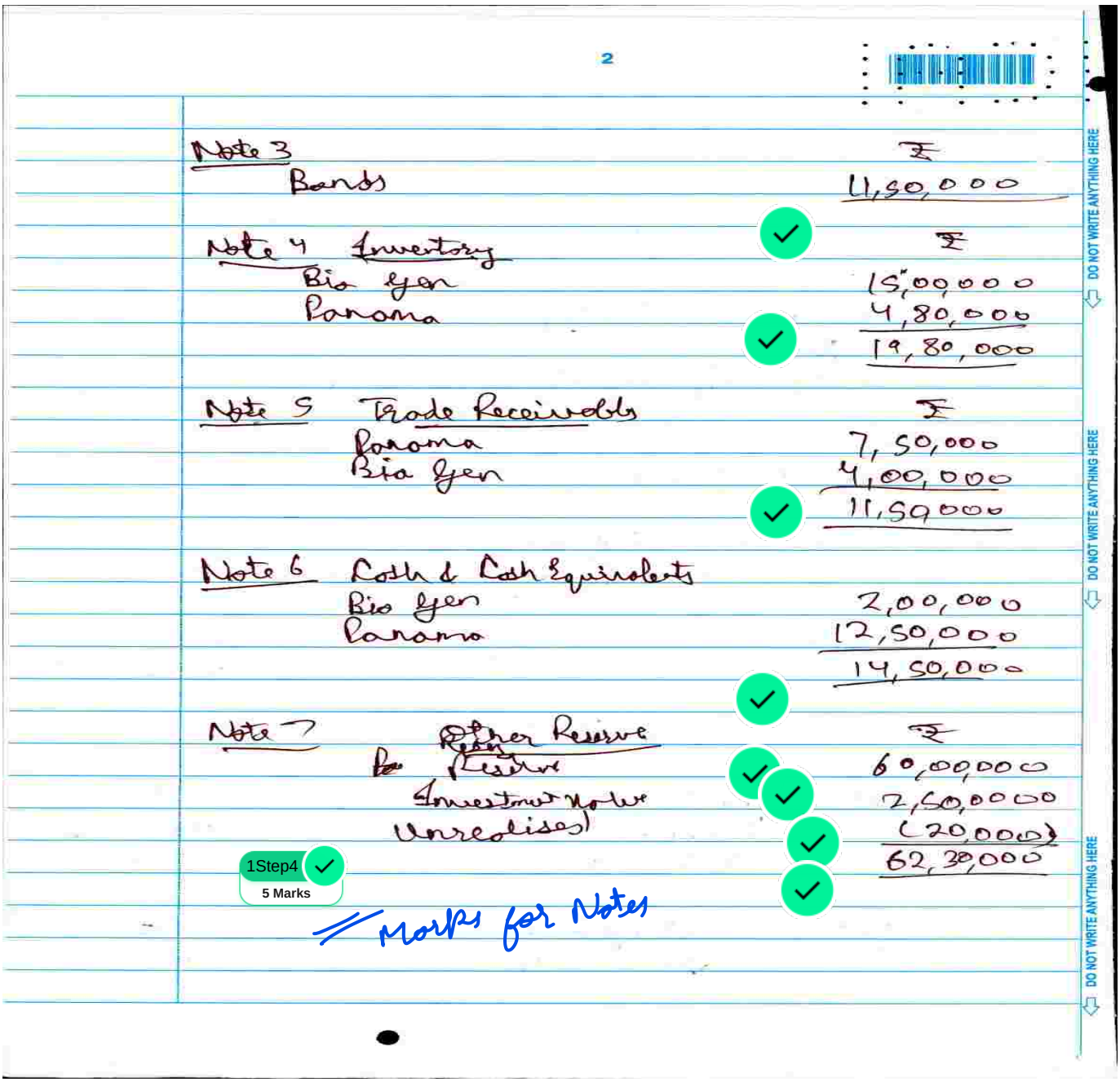
~~Panama~~ — ~~₹~~ ~~86~~ 60,00,000

Bio Gen — 26,00,000

86,00,000

Note 2 Intangible Assets

Net - Skills — ~~₹~~ 10,50,000



2

		₹
Note 3		
	Bonds	11,50,000
Note 4	Inventory	₹
	Bio Gen	15,00,000
	Panama	4,80,000
		19,80,000
Note 5	Trade Receivables	₹
	Panama	7,50,000
	Bio Gen	4,00,000
		11,50,000
Note 6	Cash & Cash Equivalents	
	Bio Gen	2,00,000
	Panama	12,50,000
		14,50,000
Note 7	Other Reserve	₹
	Retained Earnings	60,00,000
	Investment Reserve	2,50,00,000
	Unrealised	(20,000)
		62,30,000

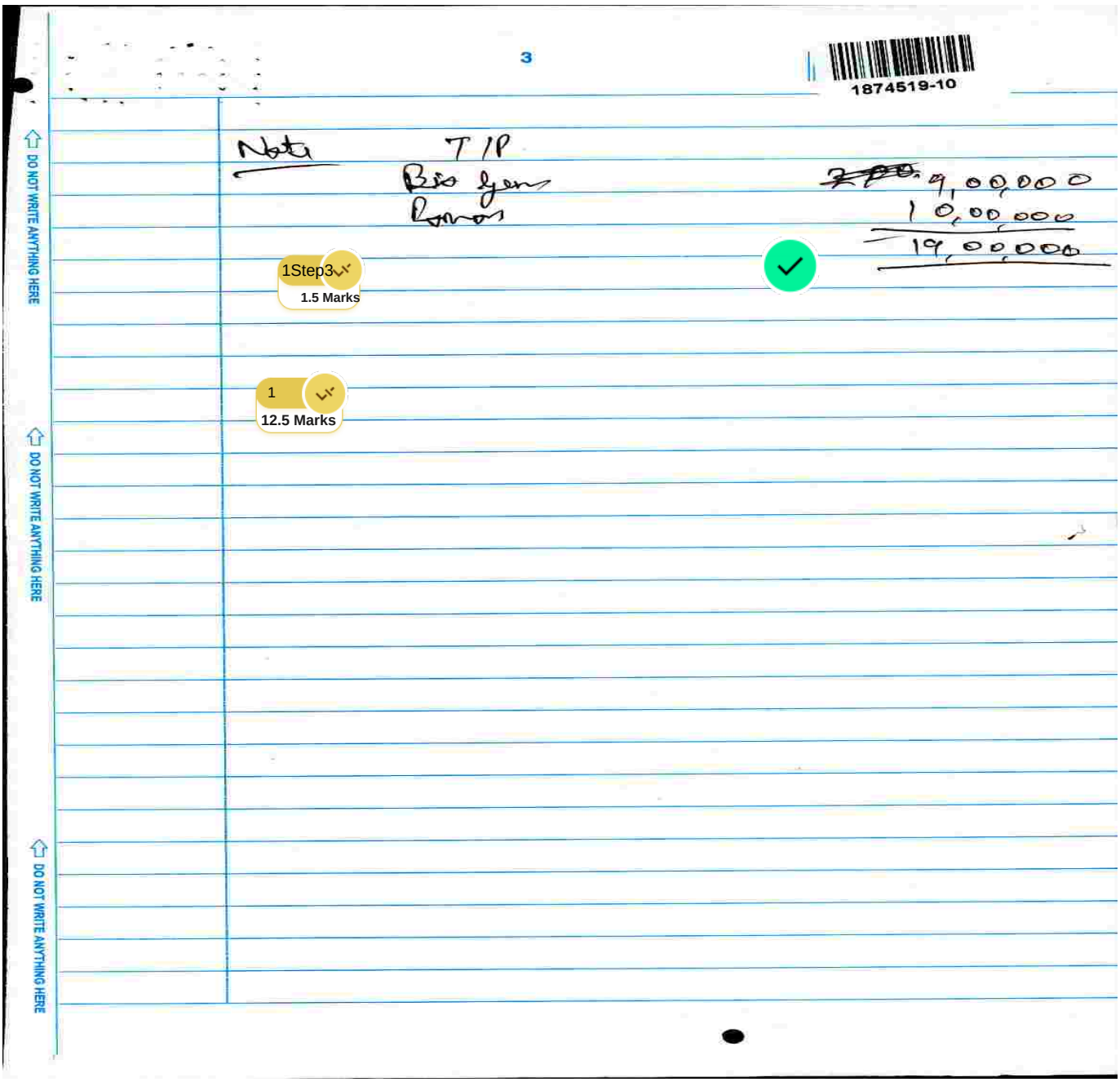
1Step4 5 Marks

Marks for Notes

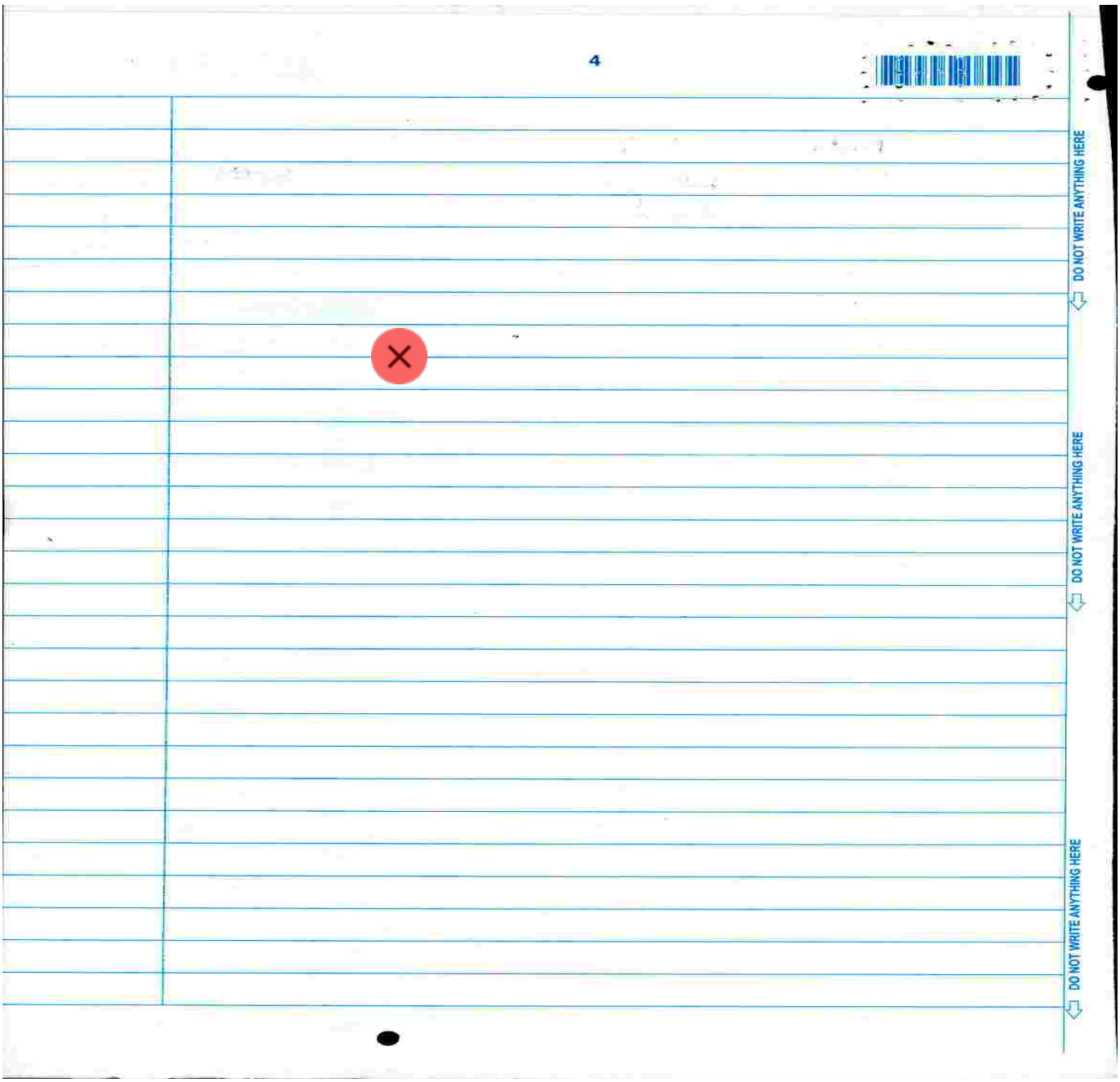
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Code:	FN1FR874519	**Total Marks:**	70
Subject :	01 Financial Reporting	**Marks Obtained :**	51.5



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Result Overview

Awarded Marks:51.5		**Max Marks:70**
Not Attempted	**Optional**	**M Marked**

Q1_Compulsory (Score: 12.5/14)

Question No	Awarded Marks	Maximum Marks	Status	Question Comments
1	12.5	14	M	

Q2_Q6 (Score: 39/56)

Question No	Awarded Marks	Maximum Marks	Status	Question Comments
2	5.5	14	M	
2a	1.5	10	M	
2b	4	4	M	
3	11	14	M	
3a	7	10	M	
3b	4	4	M	
4	0	14		
4a	0	6		

4b	0	8	♈	
5	10.5	14	M	
5a	3.5	5	M	
5b	5	5	M	
5c	2	4	M	
6	12	14	M	
6a	3	5	M	
6b	5	5	M	
6c	4	4	M	